



famous brands
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2026

CONSOLIDATED
AND COMPANY
FINANCIAL
STATEMENTS

for the year ended 28 February



Audited financial statements and other information

for the year ended 28 February 2026

The reports and statements set out below were prepared under the supervision of the Group Financial Director, Mrs Nelisiwe Shiluvana CA(SA), ACMA, CGMA and comprise the consolidated and company audited financial statements presented to the shareholders.

Contents

DIRECTORS' REPORT	1
APPROVAL OF THE CONSOLIDATED AND COMPANY FINANCIAL STATEMENTS	3
AUDIT AND RISK COMMITTEE'S REPORT	4
CEO AND GFD RESPONSIBILITY STATEMENT	8
COMPANY SECRETARY'S CERTIFICATE	8
INDEPENDENT AUDITOR'S REPORT	9
CONSOLIDATED FINANCIAL STATEMENTS	14
ANNEXURE 1: SHARE-BASED PAYMENTS RESERVE	73
ANNEXURE 2: EXCHANGE RATES	83
COMPANY FINANCIAL STATEMENTS	84
SHAREHOLDER SPREAD	94
ADMINISTRATION	95



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Refer to page within this book

Refer to page within this book



Directors' Report

for the year ended 28 February 2026

The directors have pleasure in submitting their report for the year ended 28 February 2026.

Nature of business

Famous Brands Limited (Famous Brands or the company) is a holding company domiciled in South Africa and is listed on the JSE Limited under the category Consumer Services: Travel and Leisure. Famous Brands is Africa's leading quick service and casual dining restaurant franchisor.

The nature of goods and services is detailed in the Operating Segment and revenue streams in Note 12 Revenue.

Information on the Group's structure and information on related parties is provided in relevant notes to the consolidated financial statements.

Famous Brands' vertically integrated business model comprises a portfolio of 15 brands represented by a franchise network of 3 043 restaurants across South Africa (SA), Southern African Development Community (SADC), the Rest of Africa and Middle East (AME), and the United Kingdom (UK), underpinned by substantial supply chain comprising of Logistics and Manufacturing operations, and Retail operations earning revenue from product sales to retailers.

Directors' responsibilities

The responsibilities of the company's directors are detailed on page 3 of this document.

Financial statements and results

The Group and Company's results and financial position are reflected on pages 13 to 93.

Significant events

All significant events have been detailed within the financial results.

Corporate governance

The Corporate governance report is set out in the 2026 Integrated Annual Report (IAR).

Tangible and intangible assets

Movements in the Group's tangible and intangible assets are set out in Note 1 Property, plant and equipment and Note 2 Intangible assets.

Events after reporting date

There were no other events to report post reporting date, except for the dividends declared and the continuation of the share repurchase programme.

Dividends

The Board declared a final dividend of 220 cents per share (2025: 195 cents per share) to the amount of R220.4 million, reflecting the Group's stable financial position and cash flows. In light of the challenging economic environment in which our business currently operates, we acknowledge its impact on earnings growth. Nevertheless, we maintain an optimistic outlook for the future.

The final dividend will be paid out of current year profits for a total amount of R382.8 million (2025: R345.7 million). In August 2025, the Board declared an interim dividend of 162 cents per share.

Share capital

The authorised and issued share capital of the company as at 28 February 2026 is set out in Note 9 Equity reserves of the consolidated financial statements.

There were no new share issues in the year. We undertook a share buy-back programme, set out details provided in Note 28.1 Share repurchase programme.

As at 28 February 2026, 933 459 shares were held by subsidiaries of the Group. The issued and weighted average number of shares are reduced by the treasury shares in determining earnings per share (EPS), diluted EPS and headline earnings per share (HEPS).

Shareholder spread and material shareholders

In terms of the JSE Listings Requirements paragraph 2.4 (e), Famous Brands complies with the minimum shareholder spread requirements, with 93.5% (2025: 93.1%) of ordinary shares being held by the public as at 28 February 2026. Details of the company's shareholder spread, and material shareholders are set out on page 94.

Directors and Company Secretary

The names of the directors and the Company Secretary at the date of this report are detailed on page 95 of this document.

Changes to the Board

There were no changes to the Board.

Special Resolutions

The Special Resolutions passed by the company at its AGM held on 25 July 2025 are detailed on pages 5 to 7 of the 2025 Notice of AGM of Shareholders.

At the next AGM to be held on 24 July 2026, shareholders will be requested to approve special resolutions detailed in the Notice of Annual General Meeting of Shareholders, published in the 28 February 2026 Integrated Annual Report.



Directors' Report (continued)

Prospects

Our strategy remains resilient and flexible to create value for our customer. We continue to drive accessible value and quality offerings while strengthening our loyalty programmes and personalised communication approach to support consumer retention. Investment is also being directed towards delivery channels, smaller-format restaurants and drive-thrus to meet sustained demand for convenience. Our restaurant pipeline is healthy, with interest from both new and existing franchise partners.

Expansion in the SADC and AME regions will be pursued through a measured and targeted approach, focusing on selected priority markets. We have restructured our AME management team to reduce costs, including bringing our Dubai operations back to South Africa. We are bullish on our prospects in Malaysia, following the opening of a combo Steers and Debonairs Pizza restaurant in December 2025, in partnership with MESRA, a wholly owned subsidiary of PETRONAS Dagangan Berhad.

We continued to develop our Supply Chain to improve efficiencies and customer service to our franchise partners. Manufacturing facilities are being refurbished through a phased investment programme over the next two years. This includes investments in modern manufacturing technologies to improve yields, enhance product quality and reduce waste. We are also deepening our product development capabilities to create innovative products, improve taste and reduce costs. This year, we marked the conclusion of our multi-year programme to develop a fit-for-purpose Logistics platform. Across the Supply Chain, the Group is well-positioned to leverage its strengthened infrastructure to drive improved productivity and profitability while servicing a larger franchise network.

Retail remains strategically important for extending our brand experience and capitalising on the trend toward in-home consumption. The division also contributes to growth in volumes and revenue for our Manufacturing and Logistics divisions. However, in 2026, Retail did not meet our performance expectations. We have rationalised the division's cost base, are renegotiating terms with retailers and are discontinuing products that are no longer viable.

We made a concerted effort to address areas of non-performance, and this should be evident in our 2027 results. We are confident in our growth prospects across formats, technology and menu development. Our model is underpinned by franchise partners who remain agile and committed to reinvestment in our brands. A continued focus on efficiency and cost discipline is expected to support the quality of our earnings and our long-term sustainability.



Approval of the consolidated and company financial statements

for the year ended 28 February 2026

Directors' Responsibility for Annual Financial Statements

The directors are required by the Companies Act of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the annual financial statements and related financial information included in this report. It is their responsibility to ensure that the annual financial statements present fairly the state of affairs of the Group and Company as at the end of the financial year and the results of its operations and cash flows for the year ended. The financial statements have been prepared in accordance IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards), the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council, JSE Listings Requirements and the requirements of the Companies Act of South Africa.

The external auditors are engaged to express an independent opinion on the financial statements. The financial statements are prepared in accordance with IFRS® Accounting Standards and are based on appropriate accounting policies consistently applied and supported by reasonable and prudent judgements and estimates.

Internal controls

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the Group and place considerable importance on maintaining an adequate control environment. These controls are monitored throughout the Group and all employees are required to maintain the highest ethical standards in ensuring the Group's business is conducted in a manner that, in all reasonable circumstances, is above reproach. The Audit and Risk Committee perform an oversight role in matters related to financial and internal controls.

The directors are of the opinion that based on the information and explanations given by management, the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

Going concern

The directors have reviewed the Group's and Company's cash flow forecast for the subsequent year and, considering this review and the current financial position, they are satisfied that the Group and Company has access to adequate resources to continue in operational existence for the foreseeable future. The consolidated and company financial statements, which have been prepared on the going concern basis, were approved by the Board of Directors, and are signed on its behalf by:

CH Boulle

Independent Chairman

18 May 2026

DP Hele

Chief Executive Officer

18 May 2026



Audit and Risk Committee's Report

for the year ended 28 February 2026

COMPOSITION AND ATTENDANCE

Chairman

B Mathe (4/4)

Members

BM Mathe (4/4)

F Petersen-Cook (4/4)

TF Mosololi (4/4)

Invitees

DP Hele: Group CEO (4/4)

N Shiluvana: Group FD (4/4)

CH Boulle (4/4)

N Halamandaris (4/4)

N Ndaba: Group Risk Executive (4/4)

CD Appollis: Group Company Secretary (4/4)

K Mosuo: Head of Internal Audit (4/4)

KPMG (4/4)

Mandate

The Audit and Risk Committee assists the Board in discharging its oversight responsibilities, including safeguarding the Group's assets, ensuring robust risk management and control processes, and preparing financial statements in compliance with all applicable legislation and regulations.

Focus areas for 2026

GENERAL

- Considered the strategic rationale for the share buyback programme, ensuring financial soundness, compliance with regulatory requirements and disclosures.
- Reviewed the Group's refinancing arrangements.
- Reviewed and approved the Committee Charter.
- Reviewed and recommended the consolidated financial statements and IAR to the Board for approval.
- Reviewed and approved an updated Limits of Authority Framework.
- Reviewed the outcomes of the committee evaluation and undertook to implement all recommendations.
- Reviewed the annual work plan.
- Reviewed and recommended the Group's 2027 budget to the Board for approval.

Discharging our duties

ANNUAL ASSESSMENTS

The committee received feedback on an internal assessment conducted on the skills, expertise and resourcing of the finance function, was satisfied with the overall adequacy and appropriateness of the function and identified areas for improvement. The committee further reviewed the expertise and experience of the Group Finance Director, Nelisiwe Shiluvana, and was satisfied with the appropriateness thereof. In evaluating the finance function, including considering the input of the senior finance team during a closed session with the auditors, the committee concluded that:

- the finance function's management philosophy and control environment were consistent;
- management of the finance function has provided the required guidance to operations during the year;
- the organisational structure of the finance function has the required authority and responsibility that promotes accountability and control; and
- the finance function had properly applied accounting principles in the preparation of the financial statements and the accounting of complex and non-routine transactions.

In a closed session with the auditors, the committee reviewed and considered the following assessments:

- The Group Financial Director.
- The Finance structure.
- The Head of Internal Audit.

Overall, the committee reflected that it was satisfied with the expertise and competence of the Group Financial Director and the finance function and identified areas for improvement. The committee found that the Head of Internal Audit was knowledgeable and provided strong leadership to the department. The Chairman of the committee provided feedback directly to the parties concerned.



Audit and Risk Committee's Report (continued)

Financial statements, accounting practices and other financial matters

- Reviewed the assessment prepared by management of the Group's going concern status and made recommendations to the Board. The committee concurred that the adoption of the going concern is appropriate for the preparation of the AFS and interim financial statements.
- Reviewed the financial covenants applicable to the Group based on the lending and capital structure, which were found to have been appropriate and complied with.
- Considered matters raised relating to financial reporting and accounting practices, internal audit, contents of the Group's and the Company's financial statements, internal financial controls, and any related matters.
- Reviewed and recommended the consolidated and Company financial statements and IAR to the Board for approval.
- Reviewed the processes in place for reporting matters relating to financial reporting and accounting practices, internal audit, contents of the Group's and the Company's AFS, internal financial controls and any related matters and agreed on matters that required improvement. The committee can confirm that there were no matters of concern noted.
- Reviewed and recommended the press release, short-form announcement, interim results and annual financial statements to the Board for approval;
- Considered accounting treatments, significant unusual transactions and key accounting judgements.
- Considered the reports of the internal auditors on the Group's systems of internal control, including financial controls, business risk management and maintenance of an effective internal control system.
- Received assurance from management that proper and adequate accounting records were maintained, and the systems safeguard the assets against unauthorised use or disposal.
- Reviewed the Group tax report.
- Considered the JSE Proactive Monitoring Report dated 4 November 2025 and assessed how the issues raised impact the Group's financial statements.
- Reviewed and recommended to the Board management's submission for the dividend declaration.
- Reviewed and recommended the assessment performed by management for the share buyback programme to the Board.
- Noted that two IFRS sustainability disclosures standards on sustainability-related financial information (IFRS S1) and climate-related disclosures (IFRS S2) were not mandated in South Africa.
- Noted that IFRS 18 Presentation and Disclosure in Financial Statements would replace IAS 1 Presentation of Financial Statements and would be effective from 1 January 2027, with earlier application permitted and retrospectively applied.
- Reviewed and approved the Group's 2026 accounting policies.

Based on the above, the committee formed the opinion that there were no material breakdowns in internal control, including financial control, business risk management and the maintenance of effective material control systems.

External audit

- Considered the quality controls processes of the external auditor and specifically audit quality review conducted over the designated auditor, including those performed by the Independent Regulatory Board for Auditors (IRBA) as part of its routine review in terms of the Auditing Profession Act.
- Considered the appropriateness of the other auditors engaged to perform audits within the Group, D.R.E & Co. Chartered Accountants in the UK and PKF Botswana and deemed them appropriate.
- Reviewed the external auditor's report on the consolidated and Company financial statements and the key audit matter.
- Approved the proposed audit fees for the year under review.

Our external auditor was appointed in 2020, and the committee is of the opinion that the firm remains independent. Our lead external audit partner was appointed in July 2024. Policy and controls are in place to address the provision of non-audit services from the external auditor.

Internal audit

- Reviewed and approved the internal audit business plan and budget.
- Performed the annual review and approval of the Internal Audit Charter.
- Reviewed the internal audit reports and processes.
- Reviewed the ongoing commitments to ensure that the CEO and Group Financial Director can make a positive statement on the adequacy and effectiveness of internal financial reporting controls.
- Oversaw the ongoing drive to improve internal financial reporting controls, focusing on revenue and tax.
- Reviewed progress by management in adopting the new Global Internal Audit Standards.

Risk management

- Evaluated and reported on the effectiveness of risk management controls and governance processes to the Board.
- Reviewed and approved the risk management business plan and budget.
- Performed the annual review and approval of the Risk Management Charter.
- Reviewed the Group risk register, IT governance and the progress made to close insurance gaps.
- Monitored the implementation of the 2026 IT security plan.
- Reviewed and considered changes to legislation and regulations that could have an impact on the Group.



Audit and Risk Committee's Report (continued)

Overseeing risk management in 2026

The committee supports the Board in overseeing the Group's principal risks, monitoring the effectiveness of mitigation actions, and identifying emerging risks. Based on our 2026 review and ongoing oversight, we are satisfied that the Group's risk management and internal control systems are operating effectively. This year, the committee focused on.

- Providing ongoing oversight of the annual budget, with a focus on cost containment in light of anticipated economic pressures and the impact of foot-and-mouth disease on input costs, particularly beef prices. This required monthly monitoring and understanding the cost levers we could leverage.
- Reviewing initiatives to strengthen the internal control environment as the Group continues to advance its technology capabilities.
- Monitoring the evolving risk landscape, including heightened geopolitical and macro-economic risks.
- Overseeing technology governance in South Africa and other key markets, including initiatives to enhance cybersecurity maturity.
- Monitoring the accounting and auditing implications of the sustainability disclosure standards: IFRS S1 and IFRS S2. We continued to evaluate our ESG and climate-related risks and response, including encouraging coordination between the Finance, Risk and Sustainability Functions.
- Monitoring developments in regulatory and reporting requirements, including those relating to King V™ and the JSE Listings Requirements. This includes JSE Listing Requirements related to auditing and the role of the Audit and Risk Committee.

Our regulatory compliance function is supported by our regulatory and compliance framework, our GRC tool and a specialised compliance software tool. This year, we expanded the scope of the GRC tool beyond the risk function to foster a Group-wide risk culture.

Cybercrime is a significant global risk, driven by increasingly sophisticated threats and the widespread adoption of digital solutions. The committee is satisfied with management's delivery of the 2026 IT security plan, which enhanced cyber resilience as the business becomes more technology-enabled, ensuring that new risks are not unmanaged. The plan also focused on improving cybersecurity in key markets outside of South Africa.

The Group's Enterprise Risk Management Framework is currently under review to ensure alignment with evolving requirements, including King V™. The review aims to verify that risks are appropriately identified and prioritised, assurance activities align with risk exposure, and adequate mitigation measures exist across all key risk categories. Specific attention will be allocated to reviewing our risk appetite and enhancing our combined assurance model.

Our Internal Audit function has matured through the adoption of smart auditing techniques, including greater reliance on continuous auditing, including data-based approaches rather than sampling. The committee has encouraged our internal audit and external auditor to adapt to a more technology-enabled environment and evolve their audit methodologies accordingly.

Share buyback and capital structure oversight

The committee deliberated on the programme's implications for the Group's solvency and liquidity. The committee also evaluated the Group's debt refinancing arrangements and their impacts on our finances and covenants.

Combined assurance

The committee is satisfied that the Group optimised the assurance coverage obtained from management, internal and external assurance providers. The committee is satisfied that the various internal and external assurances obtained, together with related systems and procedures, are effective in achieving an effective internal control environment and supporting the integrity of internal and external reports.

Going concern

The committee supported management in monitoring the Group's results monthly. This included reviewing actual results versus the budget and acting as a sounding board for management. The committee considered the management prepared going concern assessment and the Group's outlook for trading conditions, which are expected to persist for the foreseeable future. This evaluation is based on various scenarios. They include the impact of geopolitical volatility, poor economic conditions in several markets, our loan service and co venant requirements, and working capital requirements. The committee is satisfied that the Group is a going concern for the foreseeable future based on the information available at the time of approval of the Group AFS.



Audit and Risk Committee's Report (continued)

Priorities for 2027

The most significant change to the committees mandate in 2027 is the implementation of King V™ requirements, particularly in respect of data, information and technology governance. While the Committee previously oversaw technology governance, this oversight was limited to the King IV™ requirements.

King V™ requires oversight over the acquisition, development, use and distribution of emerging innovative and disruptive technologies including artificial intelligence (AI). The committee needs to satisfy itself and the Board that ethical, legal and operational risks associated with the use of emerging, innovative and disruptive technologies are effectively managed and addressed. Under King V™ technology governance is elevated from a technical matter to a core strategic responsibility of the Board. This is important as the Group continues its consumer facing technology journey and exploring innovative technologies to drive efficiency in the business.

Our focus areas are:

- Monitoring the assessment performed by management on the impact of the IFRS 18 standard on the Group, including disclosure requirements.
- Continued close monitoring of performance against the budget and cost containment measures.
- Monitoring management's response to geopolitical risks, which could play out in higher inflation, Rand volatility, supply chain disruptions and higher costs for imported equipment.
- Monitoring the application of the approved revised Enterprise Risk Management Framework, including the risk appetite and combined assurance model.
- Expanding the scope of our technology governance oversight to include AI, other emerging technologies and data management in line with King V™.
- Reviewing measures implemented to enhance the internal control environment given the increased digitisation, automation and system changes.

Conclusion

The committee is satisfied that it has considered and discharged its responsibilities in accordance with its mandate, statutory responsibilities and terms of reference during the year. It considered all the material factors and the key audit matter; the committee recommended the consolidated and Company financial statements for the year ended 28 February 2026 for approval by the Board.

The Board approved the financial statements on 18 May 2026, which will be open for discussion at the forthcoming shareholders' AGM. The committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for the year.

I will be available at the AGM to answer any questions regarding the activities of the committee.

Busisiwe Mathe

Chairman

18 May 2026



CEO and GFD responsibility statement

for the year ended 28 February 2026

- a) the Annual Financial Statements set out on pages 13 to 93, fairly present in all material aspects the financial position, financial performance and cash flows of Famous Brands Limited in terms of IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards);
- b) to the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the Annual Financial Statements false or misleading;
- c) internal financial controls have been put into place to ensure that material information relating to Famous Brands Limited and its consolidated subsidiaries have been provided to effectively prepare the financial statements of Famous Brands Limited;
- d) the internal controls are adequate and effective and can be relied upon in compiling the Annual Financial Statements, having fulfilled our role and function as Executive Directors with primary responsibility for implementation and execution of controls; and
- e) where we are not satisfied, we have disclosed to the Audit and Risk Committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls and have remediated the deficiencies; and we are not aware of any fraud involving directors.

DP Hele

Chief Executive Officer (CEO)

18 May 2026

N Shiluvana

Group Financial Director (GFD)

18 May 2026

Company Secretary's certificate

In my capacity as the Company Secretary, I hereby certify that Famous Brands Limited has lodged with the Companies and Intellectual Property Commission for the financial year ended 28 February 2026, all such returns and notices as are required of a public company in terms of the Companies Act of South Africa and that all such returns are, to the best of my knowledge and belief, true, correct and up to date.

CD Appollis

Company Secretary

18 May 2026



Independent Auditor's Report

for the year ended 28 February 2026

To the shareholders of Famous Brands Limited

Report on the audit of the consolidated and separate financial statements

OPINION

We have audited the consolidated and separate financial statements of Famous Brands Limited and its subsidiaries (the Group and Company) set out on pages 13 to 93, which comprise:

- The consolidated and company statements of financial position at 28 February 2026,
- The consolidated and company statements of profit or loss and other comprehensive income for the year ended 28 February 2026,
- The consolidated and company statements of changes in equity for the year then ended 28 February 2026,
- The consolidated and company statements of cash flows for the year then ended 28 February 2026,
- The primary (business units) and secondary (geographical) segment report for the year ended 28 February 2026,
- The statement of compliance for the year ended 28 February 2026,
- The notes to the consolidated and company financial statements, including material accounting policy information.
- Annexure 1: Share-based payment reserve, and
- Annexure 2: Exchange rates.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Famous Brands Limited as at 28 February 2026, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Companies Act of South Africa.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report. We are independent of the Group and Company in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code), as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the *International Ethics Standards Board for*

Famous Brands consolidated and company financial statements **2026**

Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette No. 49309 dated 15 September 2023 (EAR Rule), we report:

Final materiality

The scope of our audit was influenced by our application of materiality. We set quantitative thresholds and overlay qualitative considerations to help us determine the scope of our audit and the nature, timing and extent of our procedures, and in evaluating the effect of misstatements, both individually and in the aggregate, on the consolidated and separate financial statements as a whole.

Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Consolidated financial statements	Separate financial statements
Final materiality	R43 million, which is 4.9% (rounded) of Profit Before Tax (PBT).	R5 million, which is 0.9% (rounded) of Total Assets.
Rationale for the benchmark and percentage applied	We chose PBT as it is an appropriate benchmark for a Group that is listed and profit orientated. Profitability is a key performance measure and metric for decision making to the users of the consolidated financial statements. In respect of the consolidated financial statements, we did not adjust PBT for non-recurring transactions in the current year. We applied 4.7% (rounded) which is consistent with quantitative materiality thresholds used for profit-orientated companies in this industry and is also based on our professional judgement after consideration of qualitative factors that impact the Group.	We chose Total Assets as it is an appropriate benchmark for the Company that is listed and operates as an asset focused, investment holding company. Asset value is a key performance measure and metric in determining current and potential returns and for decision making to the users of the separate financial statements. In respect of the separate financial statements, we did not adjust Total Assets for non-recurring transactions in the current year. We applied 0.9% (rounded) which is consistent with quantitative materiality thresholds used for asset focused, investment holding companies and is also based on our professional judgement after consideration of qualitative factors that impact the Company.



Independent Auditor's Report (continued)

Group audit scope

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

We performed risk assessment procedures to determine which of the Group's components are likely to include risks of material misstatement to the Group financial statements and which further audit procedures to perform at these components to address those risks. Our judgement included assessing the size of the components, nature of assets, liabilities and transactions within the components as well as specific risks.

In total, we identified 19 components. Of those, we identified five components at which further audit procedures were performed on the entire financial information of the component, either because audit evidence needed to be obtained on all or a significant proportion of the component's financial information, or that component represents a pervasive risk of material misstatement to the consolidated financial statements.

We also identified 14 components, at which further audit procedures were performed on one or more classes of transactions, account balances or disclosures based on the assessed risks of material misstatement to the consolidated financial statements.

Accordingly, we performed audit procedures on 19 components, of which we involved component auditors in performing the audit work on two components.

We also performed analytical procedures at an aggregated group level on the remaining financial information to re-examine our assessment on whether there is a less than reasonable possibility of a material misstatement in the remaining financial information.

Our group auditor oversight over the components, included:

- Conducting risk assessment and planning discussions, to ensure appropriate identification of risks which impact the group audit and the approach to respond to those risks.
- Sufficient and appropriate two-way communication and involvement on the planning and execution of the component audit as well as on significant findings identified, thereof; and
- Review of the component auditors' procedures performed and audit evidence obtained, in areas of significance to the group audit, to determine if the component auditors obtained sufficient and appropriate audit evidence to support their conclusions.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined that there are no key audit matters to communicate in relation to our audit of the separate financial statements.

In terms of the EAR Rule, we are required to report the outcome of audit procedures or key observations with respect to the key audit matters and these are included below.



Independent Auditor's Report (continued)

Valuation of goodwill, trademarks and brand names intangible assets

Refer to note 2 "intangible assets" which includes the significant judgements and estimation uncertainty and note 13 "profit before tax" which includes significant judgements and estimation uncertainty relating to impairments of the consolidated financial statements.

Key audit matter

How the matter was addressed in our audit

Intangible assets include goodwill of R441 million and trademarks and brand names of R337 million (total of R778 million) which represents 93% of intangible assets and 39% of total non-current assets of the Group.

As required by IAS 36, Impairment of Assets (IAS 36), management perform annual impairment assessments to test the recoverability of the carrying amounts of goodwill for each cash-generating unit (CGU's) and trademarks and brand names with indefinite useful lives.

Impairment assessments of goodwill, trademarks and brand names intangible assets are performed based on value-in-use calculations using discounted cash flow projection models.

As disclosed in note 2 and note 13, there are a number of key judgements made in determining the inputs into the value-in-use calculations which include:

- forecast revenues;
- forecast profits;
- royalty rates;
- post-tax discount rates applied to the projected future cash flows; and
- terminal growth rates.

Given the significance of goodwill, trademarks and brand names intangible assets in the consolidated financial statements and the significant judgements and estimation uncertainty involved in determining the key assumptions used in the discounted cash flow models, the valuation of goodwill, trademarks and brand names intangible assets was considered to be a key audit matter.

We performed the following procedures:

- Tested the design and implementation of the controls over managements' impairment assessment calculation by performing a walkthrough of their process from initiation to recording and inspecting the relevant supporting documentation.
- Performed a detailed risk assessment to identify which CGU's or intangible assets involve sensitive significant assumptions that could result in a material misstatement of goodwill, trademarks and brand names intangible assets.
- Critically evaluated whether the discounted cash flow models selected and applied by management to calculate the value-in-use of goodwill for selected CGUs and trademark, or brand name intangible asset complies with the requirements of IAS 36 and were applied appropriately.
- Challenged the assumptions used by management in their value-in-use calculations by performing the following procedures:
 - assessed the reasonableness of the assumptions relating to forecast profits, royalty rates and forecast revenue in relation to our knowledge of the Group and the industry in which it operates.
 - assessed the reasonableness of the terminal growth rates in relation to external market data; and
 - assessed the reasonableness of the discount rates applied by independently calculating the rates and comparing these rates to those used by management with assistance from our internal valuation specialist team.
- Evaluated the future projected cash flows for the selected CGUs, trademarks or brand name intangible assets to determine whether they are reasonable and supportable given the current macroeconomic climate by comparing the projected cash flows, including assumptions relating to profit growth and terminal growth rates, against historical and current performance to assess the accuracy of managements' projections.
- Evaluated for selected CGU's whether the carrying amount of the determined unit or group of assets/liabilities were exceeding the value-in-use calculated.
- Evaluated the adequacy of the disclosures in the consolidated financial statements for compliance with the requirements of IAS 36.

Based on the procedures performed above in respect of valuation of goodwill, trademarks and brand names intangible assets, and results thereof, we did not identify any significant matters requiring further consideration.

OTHER INFORMATION

The directors are responsible for the other information. The other information comprises the information included in the document titled "Famous Brands Consolidated and Company financial statements for the year ended 28 February 2026", which includes the Directors' Report, the Audit and Risk Committee's Report and the Company Secretary's Certificate as required by the Companies Act of South Africa, which we obtained prior to the date of this report, and the Annual Integrated Report, which is expected to be made available to us after that date. The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF THE DIRECTORS FOR THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.



Independent Auditor's Report (continued)

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or Company or to cease operations, or have no realistic alternative but to do so.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

AUDIT TENURE

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that KPMG Inc. has been the auditor of Famous Brands Limited for six years.

KPMG Inc.

KPMG Inc.

Registered Auditor
Per BPK Jajula
Chartered Accountant (SA)
Registered Auditor
Director

KPMG Crescent
85 Empire Road
Parktown
2193

18 May 2026



Contents

CONSOLIDATED STATEMENT OF FINANCIAL POSITION	14
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME	15
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY	16
CONSOLIDATED STATEMENT OF CASH FLOWS	17
PRIMARY (BUSINESS UNITS) AND SECONDARY (GEOGRAPHICAL) SEGMENT REPORT	18
STATEMENT OF COMPLIANCE	21
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS	
1. Property, plant and equipment	25
2. Intangible assets	27
3. Investments in associates	29
4. Leases	30
5. Deferred tax	33
6. Inventories	34
7. Trade and other receivables	35
8. Cash	35
9. Equity reserves	36
10. Borrowings	37
11. Trade and other payables	39
12. Revenue	39
13. Profit before tax	42
14. Net finance costs	43
15. Tax	44
16. Basic and headline earnings per share	45

17. Cash flow information	46
18. Contingent liabilities	47
19. Commitments	48
20. Retirement benefit plans	48
21. Directors' interests in shares	49
22. Directors' remuneration	50
23. Related party transactions	52
24. Schedule of investments in subsidiaries and associates	53
25. Financial instruments and risk management	57
26. Capital management	67
27. Share-based payments reserve	68
28. Other matters	71
29. Events after reporting period	71
30. Going concern	72
ANNEXURE 1: SHARE-BASED PAYMENTS RESERVE	73
ANNEXURE 2: EXCHANGE RATES	83
COMPANY ACCOUNTING POLICIES	84
COMPANY STATEMENT OF FINANCIAL POSITION	85
COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME	86
COMPANY STATEMENT OF CHANGES IN EQUITY	87
COMPANY STATEMENT OF CASH FLOWS	88
NOTES TO THE COMPANY FINANCIAL STATEMENTS	89
SHAREHOLDER SPREAD	94
ADMINISTRATION	95



Consolidated statement of financial position

at 28 February 2026

	Notes	2026 R000	2025 R000
Assets			
Non-current assets		2 009 880	1 975 490
Property, plant and equipment	1	1 013 283	962 646
Intangible assets	2	836 875	859 386
Investments in associates	3	47 547	42 912
Investment in preference shares	25.1	18 097	12 115
Loan to associates	3	8 445	–
Lease receivables	4.1	4 732	5 889
Deferred tax	5	80 901	92 542
Current assets		1 564 923	1 664 242
Inventories	6	580 396	555 922
Trade and other receivables	7	564 305	611 205
Cash and cash equivalents	8.1	378 458	441 436
Restricted cash	8.2	25 978	44 075
Lease receivables	4.1	2 439	1 680
Derivative financial instruments	25.1	–	228
Current tax assets		13 347	9 696
Total assets		3 574 803	3 639 732

	Notes	2026 R000	2025 R000
Equity and Liabilities			
Capital and reserves			
Share capital	9.1	1 002	1 002
Share premium	9.2	163 441	163 441
Treasury shares		(54 017)	–
Non-distributable reserves		66 099	104 452
Foreign currency translation reserve		48 463	73 084
Retained earnings		1 121 546	833 648
Equity attributable to owners of Famous Brands Limited		1 346 534	1 175 627
Non-controlling interests		136 599	116 674
Total equity		1 483 133	1 292 301
Non-current liabilities		1 233 964	1 222 380
Borrowings	10	972 094	907 254
Lease liabilities	4.1	186 613	223 953
Provision		2 140	2 201
Deferred tax	5	73 117	88 972
Current liabilities		857 706	1 125 051
Trade and other payables	11	667 789	767 878
Borrowings	10	77 272	232 996
Lease liabilities	4.1	85 512	73 926
Shareholders for dividends		3 916	3 626
Current tax liabilities		21 893	45 813
Derivative financial instruments	25.1	1 324	812
Total liabilities		2 091 670	2 347 431
Total equity and liabilities		3 574 803	3 639 732



Consolidated statement of profit or loss and other comprehensive income

for the year ended 28 February 2026

	Notes	2026 R000	2025 R000
Revenue	12	8 744 203	8 282 653
Cost of sales		(5 062 582)	(4 737 309)
Gross profit		3 681 621	3 545 344
Other income	13	61 895	60 746
Expected credit loss	25.4	(23 513)	(3 034)
Administration expenses		(188 053)	(196 185)
Marketing expenses		(750 847)	(717 952)
Operations expenses		(1 824 538)	(1 772 860)
Operating profit before impairment of intangible assets		956 565	916 059
Impairment of intangible assets	2	(1 482)	(2 063)
Operating profit		955 083	913 996
Net finance costs		(86 539)	(105 202)
Finance costs	14.1	(131 803)	(152 078)
Finance income	14.2	45 264	46 876
Share of profit from associates	3	11 406	9 851
Impairment of loan to associate		–	(12 392)
Profit before tax	13	879 950	806 253
Tax	15	(226 421)	(221 694)
Total profit for the year		653 529	584 559
Profit for the year attributable to:			
Owners of Famous Brands Limited		601 212	547 614
Non-controlling interests		52 317	36 945
Total profit for the year		653 529	584 559

	Notes	2026 R000	2025 R000
Other comprehensive income, net of tax:			
Exchange differences on translating foreign operations*		(24 621)	(19 590)
Pre-tax foreign exchange differences on translating foreign operations		(27 738)	(19 001)
Tax effect on exchange differences on translating foreign operations		3 117	(589)
Movement in hedge accounting reserve*		(291)	(2 865)
Pre-tax change in fair value of cash flow hedges		(413)	(3 925)
Tax on movement in hedge accounting reserve		122	1 060
Total comprehensive income for the year		628 617	562 104
Total comprehensive income attributable to:			
Owners of Famous Brands Limited		576 300	525 159
Non-controlling interests		52 317	36 945
Total comprehensive income for the year		628 617	562 104
Basic earnings per share (cents)			
Basic	16	600	547
Diluted	16	600	547

* This item may be reclassified subsequently to profit or loss.



Consolidated statement of changes in equity

for the year ended 28 February 2026

Attributable to owners of Famous Brands Limited

	Share capital and share premium R000	Treasury shares R000	Non-distributable reserves R000	Foreign currency translation reserve R000	Retained earnings R000	Total R000	Non-controlling interests R000	Total equity R000
Balance at 1 March 2024	164 443	–	153 327	92 674	541 402	951 846	126 925	1 078 771
Equity settled share-based payment scheme*	–	–	(33 854)	–	64 864	31 010	–	31 010
Transfer between reserves	–	–	–	–	(5 543)	(5 543)	5 543	–
Total comprehensive income for the year	–	–	(2 865)	(19 590)	547 614	525 159	36 945	562 104
Dividends declared	–	–	–	–	(314 689)	(314 689)	(30 507)	(345 196)
Disposal of interest in subsidiaries impact on non-controlling interest	–	–	–	–	–	–	(2 185)	(2 185)
Change in ownership interest in subsidiaries	–	–	(6 457)	–	–	(6 457)	(21 843)	(28 300)
Other reserve	–	–	(133)	–	–	(133)	–	(133)
Business combination remeasurement**	–	–	(5 566)	–	–	(5 566)	1 796	(3 770)
Balance at 1 March 2025	164 443	–	104 452	73 084	833 648	1 175 627	116 674	1 292 301
Equity settled share-based payment scheme*	–	–	(37 339)	–	44 408	7 069	–	7 069
Treasury shares purchased during the year	–	(54 017)	–	–	–	(54 017)	–	(54 017)
Total comprehensive income for the year	–	–	(291)	(24 621)	601 212	576 300	52 317	628 617
Dividends declared	–	–	–	–	(357 722)	(357 722)	(33 115)	(390 837)
Change in ownership interests in subsidiaries	–	–	(723)	–	–	(723)	723	–
Balance at 28 February 2026	164 443	(54 017)	66 099	48 463	1 121 546	1 346 534	136 599	1 483 133

* Equity settled share-based payment scheme is a net of the annual charge of R29.8 million (2025: R48.9 million) in Note 13 Profit before tax and grant settlement of R22.7 million (2025: R17.9 million). During the year, R44.4 million was released to retained earnings due to lapsed and expired share schemes.

** Effective 1 November 2023, the Group acquired a 51% shareholding interest in Famous Brands Restaurant Holdings Limited (Mauritius). Adjustments were made to equity and goodwill during the measurement period, based on fair values of identifiable assets and liabilities.



Consolidated statement of cash flows

for the year ended 28 February 2026

	Notes	2026 R000	2025 R000
Cash generated from operations	17.1	1 135 400	1 121 109
Net finance costs paid		(85 103)	(104 895)
Finance income received		45 265	46 876
Finance costs paid		(130 368)	(151 771)
Income tax paid	17.2	(253 894)	(214 510)
Dividends paid		(390 547)	(344 815)
Dividends paid to owners of Famous Brands Limited	17.3	(357 432)	(314 308)
Dividends paid to non-controlling interests		(33 115)	(30 507)
Net cash inflow from operating activities		405 856	456 889
Cash flow from investing activities			
Additions to property, plant and equipment	1	(216 536)	(169 098)
Additions to intangible assets	2	(13 083)	(25 569)
Proceeds from disposal of property, plant and equipment		9 811	16 003
Cash inflow on disposal of subsidiaries	17.4	–	3 873
Dividends received from associates		6 771	6 781
Principal receipts from lease receivables	4.3	1 108	4 997
Loans to associates		(2 696)	(4 329)
Net cash outflow from investing activities		(214 625)	(167 342)

	Notes	2026 R000	2025 R000
Cash flow from financing activities			
Net borrowings repaid		(88 613)	(60 215)
Borrowings raised	17.5	1 424 164	100 347
Borrowings repaid	17.5	(1 512 777)	(160 562)
Non-controlling shareholder loans received/(repaid)	17.5	527	(492)
Principal repayments of lease obligations	4.3	(81 819)	(86 635)
Lease incentives received		–	1 500
Share-based payment grant settlements		(22 693)	(17 900)
Acquisition of additional interest in subsidiaries	17.4	(3 087)	(28 300)
Acquisition of treasury shares		(54 017)	–
Net cash outflow from financing activities		(249 702)	(192 042)
Net (decrease)/increase in cash and cash equivalents		(58 471)	97 505
Foreign currency effect		(4 507)	(8 819)
Cash and cash equivalents at the beginning of the year		441 436	352 750
Cash and cash equivalents at the end of the year	8.1	378 458	441 436



Primary (Business Units) and Secondary (Geographical) Segment Report

for the year ended 28 February 2026

Operating segments

Operating segments are identified based on financial information regularly reviewed by the executive members of the Group (identified as the Chief Operating Decision Maker (CODM)) for IFRS 8 – *Operating Segments* for performance assessments and resource allocations.

The Brands, Supply Chain and Corporate business reportable segments are operating segments, differentiated by the activities that each undertakes. The business reportable segments of SA, SADC, AME and the UK are comprised of both franchise operations and company-owned restaurants, with each segment distinguished by its respective geographic operating regions.

The principal activities of the segments are as follows:

BRANDS

Leading Brands and Signature Brands are primarily franchised and some company-owned restaurants exist. The Leading (mainstream) brands portfolio is segmented into Quick Service and Casual Dining brands. One of the Signature (niche) brands is a majority-owned subsidiary of the Group.

The Group earns sales-based royalty income, based on a percentage of restaurant turnover. Marketing fund revenue contributions are primarily used to pay for expenses relating to purchasing media for marketing, market research, commercial production, other support functions for the respective brands.

SUPPLY CHAIN

The integrated supply chain consists of Manufacturing and Logistics operations which support the Brands business in South Africa and selected markets in the rest of Africa. Retail sells products to retailers.

CORPORATE

The Corporate segment consists of costs related to central head office services and other administrative costs not relevant to operations. Corporate services support the entire Group and includes consolidation entries.

UNITED KINGDOM (UK)

This segment comprises the Group's brand business in the UK (Wimpy).

SOUTHERN AFRICAN DEVELOPMENT COMMUNITY (SADC)

This segment comprises the Group's brands in the SADC region. The Group is represented in 11 countries in the region.

REST OF AFRICA AND MIDDLE EAST (AME)

This segment comprises the Group's brands in the AME region. The Group is represented in nine countries in the region.

	2026 R000	2025 R000
Revenue*		
Leading brands	1 027 337	969 323
Signature brands	201 835	198 319
Supply Chain	6 184 438	5 768 587
Manufacturing	3 653 641	3 371 365
Logistics	5 704 757	5 226 491
Retail	332 667	344 061
Eliminations	(3 506 627)	(3 173 330)
Marketing funds	726 169	690 643
Corporate	3 579	2 730
South Africa	8 143 358	7 629 628
Southern African Development Community	422 936	450 633
United Kingdom	119 213	131 644
Rest of Africa and Middle East	58 696	70 748
Revenue	8 744 203	8 282 653

* Nature of goods and services for each segment is detailed in Note 12 Revenue.



Operating segments (continued)

	2026 R000	2025 R000
Operating profit		
Leading brands	541 853	516 277
Signature brands	(10 586)	(9 187)
Supply Chain	504 112	443 994
Manufacturing	393 811	371 365
Logistics	126 078	71 365
Retail	(15 777)	1 264
Corporate*	(63 071)	(49 882)
South Africa	972 308	901 202
South African Development Community**	28 604	50 591
United Kingdom	(9 525)	7 051
Rest of Africa and Middle East	(34 822)	(42 785)
Operating profit before impairment of intangible assets	956 565	916 059
Impairment of intangible assets	(1 482)	(2 063)
Operating profit	955 083	913 996
Net finance costs	(86 539)	(105 202)
Share of profit of associates	11 406	9 851
Impairment of loan to associate	–	(12 392)
Tax	(226 421)	(221 694)
Total profit for the year	653 529	584 559

No segment assets or liabilities have been disclosed as such information is not regularly provided to the CODM.

* Corporate includes the GBK liquidation dividends of R15.3 million (2025: R24.8 million), recognised in other income.

** SADC includes the Botswana operating loss of R8 million (2025: operating profit of R9.2 million).

	2026 R000	2025 R000
Operating profit margins after impairments		
Leading brands	52.7%	53.3%
Signature brands	(5.2%)	(5.7%)
Supply Chain	8.2%	7.7%
Manufacturing	10.8%	11.0%
Logistics	2.2%	1.4%
Retail	(4.7%)	0.4%
South Africa	11.9%	11.8%
Southern African Development Community	6.8%	11.2%
United Kingdom	(8.0%)	5.4%
Rest of Africa and Middle East	(59.3%)	(60.5%)
Total	10.9%	11.0%
Geographical allocation of revenue		
United Kingdom	119 213	131 644
Botswana	366 156	400 836
The table below sets out the geographical location of non-current assets excluding deferred tax assets and lease receivables.		
Geographical allocation of non-current assets		
South Africa	1 625 158	1 544 704
Southern African Development Community (excluding Botswana)	3 483	1 660
United Kingdom	149 051	162 946
Botswana	125 998	132 787
Rest of Africa and Middle East	20 556	34 962
Total	1 924 246	1 877 059



Operating segments (continued)

2026

	Property, plant and equipment R000	Intangible assets R000	Total R000
Additions to non-current assets			
Leading brands	15 278	5 559	20 837
Signature brands	12 181	1 138	13 319
Manufacturing	41 152	1 200	42 352
Logistics	58 988	944	59 932
Retail	–	1 368	1 368
Corporate	54 794	2 189	56 983
South Africa	182 393	12 398	194 791
Southern African Development Community	18 571	101	18 672
Rest of Africa and Middle East	689	–	689
United Kingdom	30	584	614
Total	201 683	13 083	214 766

2025

	Property, plant and equipment R000	Intangible assets R000	Total R000
Additions to non-current assets			
Leading brands	19 772	15 930	35 702
Signature brands	19 228	–	19 228
Manufacturing	39 910	941	40 851
Logistics	11 750	1 792	13 542
Retail	–	860	860
Corporate	69 710	386	70 096
South Africa	160 370	19 909	180 279
Southern African Development Community	25 876	26	25 902
Rest of Africa and Middle East	2 075	–	2 075
United Kingdom	313	5 634	5 947
Total	188 634	25 569	214 203

Cash outflow of R216.5 million for additions to property, plant and equipment comprises current-year purchases of R201.7 million and payment of accruals of R14.8 million.

2026

	Employee cost* R000	Electricity cost R000	Property insurance cost R000	Depreciation R000
Material expenses				
Leading brands	290 480	3 620	830	22 382
Signature brands	63 366	6 443	567	20 449
Manufacturing	277 842	74 460	16 681	22 859
Logistics	205 417	14 475	8 890	37 120
Retail	3 938	–	119	15
Corporate	154 433	1 506	2 320	31 039
South Africa	995 476	100 504	29 407	133 864
Southern African Development Community	103 896	14 136	–	39 879
Rest of Africa and Middle East	35 341	1 961	368	9 687
United Kingdom	14 976	206	250	87
Total	1 149 689	116 807	30 025	183 517

2025

	Employee cost* R000	Electricity cost R000	Property insurance cost R000	Depreciation R000
Material expenses				
Leading brands	265 660	2 287	938	20 872
Signature brands	62 486	5 405	300	19 797
Manufacturing	259 638	67 886	16 212	31 178
Logistics	194 772	18 438	8 233	39 069
Retail	3 882	–	113	36
Corporate	131 178	2 555	1 623	26 836
South Africa	917 616	96 571	27 419	137 788
Southern African Development Community	98 421	12 573	683	36 873
Rest of Africa and Middle East	39 289	2 126	433	11 769
United Kingdom	19 644	300	382	1 229
Total	1 074 970	111 570	28 917	187 659

* Management assessed the disclosure of employee expenses and excluded third party contractors. The adjustment results in a more meaningful presentation.



Statement of compliance

for the year ended 28 February 2026

Reporting entity

Famous Brands Limited (Famous Brands or the Group) is a holding company domiciled in South Africa and is listed on the JSE Limited under the category Consumer Services: Travel and Leisure. Famous Brands is Africa's leading quick service and casual dining restaurant franchisor. The consolidated financial statements (financial statements) of Famous Brands comprise the company and its subsidiaries (together referred to as the Group) and the Group's investments in associates.

Famous Brands owns brands which are represented by restaurants locally and internationally. The business model mainly consists of business relationships between Famous Brands as the franchisor and various franchise partners whereby the franchise partners use the Famous Brands intellectual property and sell menu items to consumers. Famous Brands earns sales-based royalty income ("Franchise fee revenue"), based on a percentage of these restaurant turnovers.

Our brands are supported by a vertically integrated business, in our supply chain division which comprises our manufacturing, logistics, and retail operations. The primary function of our supply chain division is to sell ingredients and products to franchise partners. Franchise fee revenue and manufacturing and logistics revenue is earned from our franchise partners, who are Famous Brands' customers. Retail operations (part of supply chain) earn revenue from product sales to retailers.

The nature of goods and services is detailed in the Operating Segment and revenue streams as detailed in Note 12 Revenue. Information on the Group's structure and information on related parties is provided in relevant notes to the consolidated financial statements.

Statement of compliance

The consolidated financial statements have been prepared in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) in issue and effective for the Group at 28 February 2026, the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council, JSE Listings Requirements and the requirements of the Companies Act of South Africa. The consolidated financial statements were approved by the Board of Directors on 18 May 2026.

Accounting policies

These material accounting policies are consistent with the previous year, except for the changes set out in Note 1.5 Adoption of new standards, amendments to standards and interpretations.

1.1. BASIS OF PREPARATION

Presentation currency

The financial statements are presented in South African Rand (Rand), which is the Group's presentation currency. All financial information presented in Rand has been rounded to the nearest thousand (R000) except when otherwise indicated.

Basis of measurement

The financial statements have been prepared on the historical cost basis, except for the measurement of certain financial instruments at fair value or at amortised costs, and incorporate the principal accounting policies set out below and in the respective disclosure notes.

The going concern basis has been used in preparing the financial statements as the directors have a reasonable expectation that the Group will continue as a going concern for the foreseeable future, refer to Note 30 Going Concern.

1.2. BASIS OF CONSOLIDATION

The consolidated financial statements incorporate the financial statements of Famous Brands Limited and its subsidiaries and associates up to 28 February 2026.

The results of subsidiaries are included in the consolidated financial statements from the effective date of acquisition to the effective date of disposal. Adjustments are made when necessary to the financial statements of subsidiaries to bring their accounting policies in line with those of the Group. All intra-group transactions, balances, income and expenses are eliminated on consolidation.

Non-controlling interests in the net assets of consolidated subsidiaries are identified and recognised separately from the Group's interest therein, and are recognised within equity. Non-controlling interests are measured at the proportionate share of the fair value of the acquiree's identifiable net assets. Losses incurred by subsidiaries attributable to non-controlling interests are allocated to the non-controlling interest even if this results in a debit balance being recognised for non-controlling interests.

Transactions that result in changes in ownership levels, where the Group has control of the subsidiary both before and after the transaction, are regarded as equity transactions and are recognised directly in the statement of changes in equity. The difference between the fair value of consideration paid or received and the movement in non-controlling interest for such transactions is recognised in equity attributable to the owners of the parent.



Accounting policies (continued)

1.2 BASIS OF CONSOLIDATION CONTINUED

Where a subsidiary is disposed of and a non-controlling shareholding is retained, and there is a loss of control, the remaining investment is measured to fair value with the adjustment to fair value recognised in profit or loss as part of the gain or loss on disposal of the controlling interest. The assets and liabilities of the subsidiary, and any related non-controlling interest and other components of equity are derecognised.

Business combinations

The Group accounts for business combinations using the acquisition method of accounting. The cost of the business combination is measured as the aggregate of the fair values of assets transferred, liabilities incurred or assumed and equity instruments issued. Acquisition costs directly attributable to the business combination are expensed in profit or loss.

Goodwill is determined as the consideration paid, plus the fair value of any shareholding held prior to obtaining control, plus non-controlling interest less the fair value of the identifiable assets and liabilities of the acquiree. Goodwill recognised on consolidation of foreign entities is considered an asset of that foreign group. In such cases, the goodwill is translated to the presentation currency of the Group at the end of each reporting period with the adjustment recognised in equity through other comprehensive income.

Contingent liabilities are only included in the identifiable assets and liabilities of the acquiree where there is a present obligation at the acquisition date. On acquisition, the Group assesses the classification of the acquiree's assets and liabilities and reclassifies them where the classification is inappropriate for Group purposes.

Business combinations in which all the combining entities or businesses are ultimately controlled by the same party/parties before and after the business combination (and where control is not transitory) are referred to as common control business combinations. The Group applies the predecessor value method (pooling of interest method). This requires accounting for the assets and liabilities of the acquired business using existing carrying values as reflected in the consolidated financial statements of the selling entity. No new goodwill is recorded. The difference between the acquirer's cost of investment and the acquiree's equity is presented as a separate reserve within equity on consolidation.

Accounting for subsidiaries

The acquiree's identifiable assets, liabilities and contingent liabilities which meet the recognition conditions of IFRS 3 *Business Combinations* are recognised at their fair values at acquisition date.

The results of subsidiaries are included in profit or loss from the effective date of acquisition up to the effective date of disposal.

Non-controlling interest

Non-controlling interests that arise from a business combination, which are present ownership interests, and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, are measured either at the present ownership interests' proportionate share in the recognised amounts of the acquiree's identifiable net assets or at fair value. The treatment is not an accounting policy choice but is selected for each individual business combination.

In cases where the Group held a non-controlling shareholding in the acquiree prior to obtaining control, that interest is measured to fair value as at acquisition date. The measurement to fair value is included in profit or loss.

Investment in associates

An associate is an entity over which the Group has significant influence and which is neither a subsidiary nor a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but not control or joint control over those policies.

The results, assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method of accounting, from date of acquisition, except when the investment is classified as held-for-sale in accordance with IFRS 5 *Non-current Assets Held-for-Sale and Discontinued Operations*.

An investment in an associate is accounted for using the equity method from the date on which the investee becomes an associate. On acquisition of the investment, an excess of the cost of the investment over the Group's share of the net fair value of the identifiable assets and liabilities of the investee is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group's share of the net fair value of the identifiable assets and liabilities over the cost of the investment, after reassessment, is recognised immediately in profit or loss as part of the equity-accounted profit of the associate in the period in which the investment is acquired.

Under the equity method, investments in associates are carried in the consolidated statement of financial position at cost, adjusted thereafter to recognise the Group's share of the profit or loss and other comprehensive income of the associate less any impairment losses and dividends received. When the Group's share of losses exceeds the Group's interest in that associate, the Group discontinues recognising its share of further losses.

Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate. The Group in applying the equity method uses the most recent available financial statements and management accounts of the associate.

When the Group reduces its level of significant influence or loses significant influence, the Group proportionately reclassifies the related items which were previously accumulated in equity through other comprehensive income to profit or loss as a reclassification adjustment. In such cases, if an investment remains where significant influence is no longer applicable, that investment is measured to fair value and recognised in accordance with IFRS 9 *Financial Instruments*, with the fair value adjustment being recognised in profit or loss as part of the gain or loss on disposal.



Accounting policies (continued)

1.3. TRANSLATION OF FOREIGN CURRENCIES

Foreign currency translation

The Rand is the functional currency of the parent entity and the presentation currency of the Group. Cash flows arising from transactions in a foreign currency are recorded in Rand by applying to the foreign currency amount the exchange rate between the Rand and the foreign currency at the date of the cash flow.

A foreign currency transaction is recorded, on initial recognition in Rand, by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

At the end of the reporting period:

- foreign currency monetary items are translated using the closing exchange rate;
- non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction; and
- non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they were translated on initial recognition during the period or in previous consolidated financial statements, are recognised in profit or loss in the period in which they arise.

When a gain or loss on a non-monetary item is recognised to other comprehensive income and accumulated in equity, any exchange component of that gain or loss is recognised to other comprehensive income and accumulated in equity. When a gain or loss on a non-monetary item is recognised in profit or loss, any exchange component of that gain or loss is recognised in profit or loss.

Foreign operations

The results and financial position of a foreign operation are translated into the presentation currency using the following procedures:

- assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- income and expenses for each item of profit or loss are translated at average exchange rates that approximate the foreign exchange rates prevailing at each of the transaction dates; and
- all resulting exchange differences are recognised to other comprehensive income and accumulated as a foreign currency translation reserve.

Exchange differences arising on a monetary item that forms part of a net investment in a foreign operation are recognised initially to other comprehensive income and accumulated in the foreign currency translation reserve. They are recognised in profit or loss as a reclassification adjustment through to other comprehensive income on disposal of the net investment.

The cash flows of a foreign subsidiary are translated at the exchange rates between the functional currency and the foreign currency at the average rate of the year or period.

When a foreign operation is disposed of in its entirety or partially such that control and significant influence is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to non-controlling interest.

When the Group disposes of only part of an associate while retaining significant influence, the relevant proportion of the cumulative amount is reclassified to profit or loss.

1.4. SIGNIFICANT JUDGEMENTS AND ESTIMATION UNCERTAINTY

In preparing the financial statements, management is required to make estimates and assumptions that affect the amounts represented in the financial statements and related disclosures. Use of available information and the application of judgement are inherent in the formation of estimates. Actual results in the future could differ from these estimates which may be material to the financial statements. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, are presented within each relevant disclosure note to the financial statements.

1.5. ADOPTION OF NEW STANDARDS, AMENDMENTS TO STANDARDS AND INTERPRETATIONS

The Group adopted the following new, revised and amendments to standards applicable for the first time in the current financial year, which did not have a material impact on the financial statements:

IAS 21 *The Effects of Changes in Foreign Exchange Rates Lack of Exchangeability* (Amendment) – The amendment clarifies when a currency is exchangeable into another currency and how a Group estimates a spot rate when a currency lacks exchangeability. This amendment had no impact.



Accounting policies (continued)

1.6. NEW STANDARDS, AMENDMENTS TO STANDARDS AND INTERPRETATIONS IN ISSUE NOT YET EFFECTIVE

The Group has chosen not to early adopt the following amendments and interpretations, which have been published and are mandatory for the Group's accounting periods beginning on or after 1 March 2026 or later periods. Management is assessing the impact of the standards on the financial statements.

Standard	Effective date (for financial years beginning on or after)
<i>IFRS 9 and IFRS 7 Classification and measurement of financial instruments (Amendment)</i>	
IFRS 9 – The amendments include guidance on the classification of financial assets, including those with contingent features. IFRS 7 – The amendment requires companies to provide additional disclosures on financial assets and financial liabilities that have certain contingent features.	1 January 2026
<i>IFRS 18 Presentation and Disclosure in Financial Statements</i>	
IFRS 18 replaces IAS 1 Presentation of Financial Statements with a focus on updates to the statement of profit or loss. The new standard requires enhanced profit or loss performance measures that are reported outside the financial statements and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general. Management is assessing the impact of implementing IFRS 18 and comparative figures will be restated where required.	1 January 2027
<i>IFRS 19 Subsidiaries without Public Accountability: Disclosures</i>	
IFRS 19 simplifies disclosures for subsidiaries without public accountability, reducing costs while maintaining usefulness for stakeholders. Subsidiaries that elect to apply IFRS 19 will follow the same recognition, measurement and presentation requirements of those standards will be replaced with the reduced requirements of IFRS 19. Management is assessing the impact of adopting IFRS 19.	1 January 2027



Notes to the Consolidated Financial Statements

1. Property, plant and equipment

The cost and net carrying amount of the land within land and buildings is R84 million (2025: R84 million).

Properties with a carrying amount of R283.2 million (2025: R159.5 million) were pledged as security for borrowings of Rnil (2025: R129.8 million). (Refer Note 10 Borrowings and Note 28 Other matters).

	Land and buildings R000	Leasehold improvements R000	Plant and equipment R000	Motor vehicles R000	Computer equipment R000	Furniture, fittings and office equipment R000	Right-of-use assets R000	Total R000
Carrying amount at 1 March 2024	244 869	66 882	185 120	54 647	32 455	64 241	275 783	923 997
Cost	273 890	146 023	627 728	153 007	85 885	124 376	532 415	1 943 324
Accumulated depreciation and impairment	(29 021)	(79 141)	(442 608)	(98 360)	(53 430)	(60 135)	(256 632)	(1 019 327)
Additions*	69 464	13 658	53 530	20 164	8 331	23 487	47 618	236 252
Foreign currency translation	–	(147)	(605)	(384)	(245)	(2 298)	(3 460)	(7 139)
Disposals	(17)	(1 201)	(3 602)	(2 857)	(431)	(674)	(3 985)	(12 767)
Disposal of subsidiaries	–	(808)	(870)	–	(326)	(519)	(1 738)	(4 261)
Depreciation	(5 168)	(16 161)	(38 640)	(14 948)	(13 105)	(13 767)	(85 870)	(187 659)
Impairment	–	(1 783)	–	(72)	(57)	–	–	(1 912)
Transfers	(951)	951	–	–	–	–	–	–
Modifications	–	–	–	–	–	–	16 135	16 135
Carrying amount at 1 March 2025	308 197	61 391	194 933	56 550	26 622	70 470	244 483	962 646
Cost	341 298	151 827	641 380	155 295	90 604	136 753	520 946	2 038 103
Accumulated depreciation and impairment	(33 101)	(90 436)	(446 447)	(98 745)	(63 982)	(66 283)	(276 463)	(1 075 457)
Additions*	31 373	10 905	109 253	28 309	8 110	13 733	27 631	229 314
Foreign currency translation	–	(1 707)	(2 425)	17	(489)	(5 012)	(7 128)	(16 744)
Disposals	(80)	(412)	(4 736)	(1 391)	(146)	(584)	–	(7 349)
Disposal of subsidiaries	–	(3 189)	–	–	(167)	(1 799)	(1 974)	(7 129)
Depreciation	(5 982)	(15 789)	(38 970)	(16 501)	(11 927)	(14 849)	(79 499)	(183 517)
Transfers	85	(4 580)	(72)	–	(85)	4 652	–	–
Modifications	–	–	–	–	–	–	36 062	36 062
Carrying amount at 28 February 2026	333 593	46 619	257 983	66 984	21 918	66 611	219 575	1 013 283
Cost	372 443	124 961	723 429	172 472	85 615	139 099	518 728	2 136 747
Accumulated depreciation and impairment	(38 850)	(78 342)	(465 446)	(105 488)	(63 697)	(72 488)	(299 153)	(1 123 464)

* Additions include work-in-progress (see Note 1.1).



1. Property, plant and equipment (continued)

1.1 CAPITAL WORK-IN-PROGRESS

	2026 R000	2025 R000
Carrying amount at the beginning of the year	105 790	38 557
Additions	79 907	88 958
Land and buildings	25 894	69 246
Leasehold improvements	12 966	4 849
Plant and equipment	41 047	14 477
Computer equipment	–	386
Transfers	(176 024)	(21 725)
Land and buildings*	(128 870)	–
Leasehold improvements	(15 033)	(16 692)
Plant and equipment	(31 734)	(5 033)
Computer equipment	(386)	–
Carrying amount at the end of the year	9 673	105 790

* The historical and current year costs were reported as additions, representing costs incurred in each respective year. The transfers of Land and Buildings in the current year represent the accumulated cost of the Cold storage development.

Significant judgements and estimation uncertainties

The depreciation methods, estimated remaining useful lives and residual value of each asset are reviewed at the end of each year. The estimation of the useful lives of property, plant and equipment is based on historic performance as well as expectations about future use and therefore requires a degree of judgement to be applied by management. If the expectations differ from previous estimates, the change is accounted for as a change in accounting estimate.

Item	Useful life
Buildings	50 years
Leasehold improvements	Over expected remaining term of the lease
Right-of-use assets	Over expected remaining term of the lease
Plant and equipment	5 to 20 years
Furniture, fixtures and office equipment	4 to 10 years
Motor vehicles	5 to 8 years
Computer equipment	3 to 5 years

Accounting policy

Property, plant and equipment is carried at cost less accumulated depreciation and any impairment losses and is depreciated on the straight-line basis over their expected useful lives. Land is not depreciated as it has an indefinite useful life.

Cost

Items of property, plant and equipment are initially measured at cost. Cost includes those costs incurred initially to acquire or construct an item of property, plant and equipment and costs incurred subsequently to add to or replace part of it. If a replacement cost is recognised in the carrying amount of an item of property plant and equipment, the carrying amount of the replaced part is derecognised.

Depreciation

Each part of an item of property, plant and equipment, with a cost that is significant in relation to the total cost of the item, is depreciated separately.

The depreciation charge for each year is recognised in profit or loss. Depreciation commences once the asset is available for use.

Impairment

Property, plant and equipment is assessed for impairment as non-financial assets in accordance with accounting policy in Note 13 Profit before tax.

Derecognition

The gain or loss arising from the derecognition on disposal, when no further economic benefits are expected from use or disposal of an item of property, plant and equipment is included in profit or loss when the item is derecognised.

Insurance compensation

Any compensation from third parties for losses of items of property, plant and equipment is recognised as separate economic events from the derecognition and subsequent purchase of replacement assets. The compensation is recognised as income in profit or loss when it becomes receivable.

Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or development of a qualifying asset are capitalised as part of the cost of that asset until such time as the asset is ready for its intended use. The amount of borrowing costs eligible for capitalisation is determined as follows:

- actual borrowing costs on funds specifically borrowed for the purpose of acquisition, construction or development of a qualifying asset less any temporary investment of those borrowings; and
- the weighted average of the borrowing costs applicable to the entity on funds generally borrowed for the purpose of acquisition, construction or development of a qualifying asset.

The borrowing costs capitalised cannot exceed the total borrowing costs incurred.

The capitalisation of borrowing costs commences when:

- expenditures for the asset have occurred;
- borrowing costs have been incurred; and
- activities that are necessary to prepare the asset for its intended use or sale are in progress.

Capitalisation is suspended during extended periods in which active development is interrupted. Capitalisation ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

All other borrowing costs are recognised as an expense in the period in which they are incurred.



2. Intangible assets

	Trademarks and brand names R000	Goodwill R000	Franchise incentives and similar R000	Computer software R000	Total R000
Carrying amount at 1 March 2024	351 067	460 138	34 250	23 316	868 771
Cost	483 143	611 780	88 792	79 525	1 263 240
Accumulated amortisation and impairment	(132 076)	(151 642)	(54 542)	(56 209)	(394 469)
Additions	–	–	17 375	8 194	25 569
Foreign currency translation	(4 554)	(3 664)	(481)	(8)	(8 707)
Disposal of subsidiaries*	–	(3 870)	–	–	(3 870)
Business combination remeasurement**	–	(3 770)	–	–	(3 770)
Amortisation	–	–	(9 439)	(7 105)	(16 544)
Impairment	(800)	–	(1 263)	–	(2 063)
Carrying amount at 1 March 2025	345 713	448 834	40 442	24 397	859 386
Cost	478 588	596 470	115 420	88 926	1 279 404
Accumulated amortisation and impairment	(132 875)	(147 636)	(74 978)	(64 529)	(420 018)
Additions	–	467	6 439	6 177	13 083
Foreign currency translation	(8 832)	(8 148)	(885)	(127)	(17 992)
Transfers	–	–	1 444	(1 444)	–
Amortisation	–	–	(7 847)	(8 273)	(16 120)
Impairment	–	–	(58)	(1 424)	(1 482)
Carrying amount at 28 February 2026	336 881	441 153	39 535	19 306	836 875
Cost	469 756	581 023	120 124	90 925	1 261 828
Accumulated amortisation and impairment	(132 875)	(139 870)	(80 589)	(71 619)	(424 953)

* Derecognition of goodwill relates to disposal of Dial n Dine (Pty) Ltd, effective 28 February 2025.

** Effective 1 November 2023, the Group acquired a 51% shareholding interest in Famous Brands Restaurant Holdings Limited (Mauritius). Adjustments were made to equity and goodwill during the measurement period, based on fair values of identifiable assets and liabilities.

The impairment of R0.8 million on trademarks and brand name, and R1.3 million on franchise incentives in the prior year related to brands in Signature Brands, mainly due to the conversion of Fego Caffé to the Leading Brands portfolio. The intangible assets had no recoverable amounts.

Intangible assets amortisation and impairments have been included in their respective line captions on the statement of profit or loss and other comprehensive income.



2. Intangible assets (continued)

Significant judgements and estimation uncertainty

TRADEMARKS AND BRAND NAMES

The Group's trademarks and brand names have been assessed as indefinite life intangible assets and are disclosed above. In arriving at the conclusion that a brand has an indefinite life, management considers that the Group is a brands business and expects to acquire, hold and support brands for an indefinite period. The Group supports its brands through spending on consumer marketing and through significant investment in promotional activities.

Indefinite life trademarks are assessed as such, as management believes there is no foreseeable time limit over which the Group will continue to generate revenues from their continued use. Supporting this assumption is the fact that the brands held are established, well known, and can reasonably be expected to generate revenues beyond the Group's strategic planning horizon. In addition, the Group can continue to renew legal rights attached to such trademarks, without significant costs, and intends to do so beyond the foreseeable future.

FRANCHISE INCENTIVES AND SIMILAR

Franchise incentives or inducement are offered to franchise partners as a non-returnable contribution underpinned by a franchise agreement of at least five years. They are typically related to projects of a strategic nature.

COMPUTER SOFTWARE

Computer software relates to mainly acquired computer software licences and systems.

IMPAIRMENT REVIEWS OF GOODWILL AND INTANGIBLE ASSETS WITH INDEFINITE USEFUL LIFE

For the purposes of impairment testing, goodwill is allocated to cash-generating units. Carrying amounts of significant goodwill and intangible assets with indefinite useful life are detailed below.

	2026 R000	2025 R000
Trademarks and brand names		
Domestic		
Wimpy, Debonairs Pizza, FishAways, Milky Lane, Steers, Vovo Telo, KEG, Mugg & Bean, Europa, Mythos, Cater Chain, Catch, Tru Fruit and Lamberts Bay Foods	235 029	235 029
International		
Wimpy (UK)	101 852	110 684
	336 881	345 713

	2026 R000	2025 R000
Goodwill		
Domestic*		
Wimpy, Debonairs Pizza, FishAways, Steers, Famous Brands Coffee Company, Creative Coffee, Turn n Tender, Cater Chain, Lupa, Salsa, Tru Bev and Retail Group Botswana	400 297	404 222
International		
Venus Solutions Ltd	37 818	41 098
Famous Brands Restaurant Holdings Ltd	3 038	3 514
	441 153	448 834

* Goodwill reported as domestic is allocated to various cash-generating units.

IMPAIRMENT CALCULATIONS

The recoverable amounts of trademarks, brand names and goodwill have been determined on the basis of value-in-use calculations. These intangible assets are considered on an individual basis for impairment assessment. Value in-use calculations use cash flow projections based on 2027 budgets and projected future years, approved by management. Refer to Note 13 Profit before tax for details on impairment processed.

Significant inputs and assumptions are as follows:

	UK-based intangibles*		Domestic-based intangibles**	
	2026	2025	2026	2025
Royalty rates	–	–	4.6% – 6.1%	4.6% – 6.1%
Post-tax discount rates applied to the projected future cash flows***	12%	13.1%	13% – 15%	16.7% – 18.2%
Terminal growth rates	5%	2.5%	2%	1.6%
Forecast revenues and profits (Goodwill)	5 years	5 years	5 years	5 years

* Wimpy UK brand and trademark are assessed centrally for domestic and international operations hence UK-based royalty rates are not applicable, revenue is the input driver.

** Domestic includes South Africa and AME-based intangibles.

*** The range in discount rates applies to all trademarks and brands, and goodwill allocated to cash-generating units.

The pre-tax discount rates applicable for domestic-based intangibles are between 14.3% (2025: 17.4%) and 15.75% (2025: 18.9%) and the UK-based intangible was 12.5% (2025: 13.3%).

SENSITIVITY ANALYSIS

Management considered and assessed a reasonable 100 basis point change in the discount rate and terminal growth rate for the goodwill and trademark assessments and have not identified any instances where the carrying amount of the CGUs exceeded its recoverable amount.



2. Intangible assets (continued)

Significant judgements and estimation uncertainty

TRADEMARKS AND BRAND NAMES

The amortisation methods, estimated remaining useful lives and residual value of each asset are reviewed at the end of each year. The estimation of the useful lives for intangible assets with definite life is based on historic performance as well as expectations about future use and therefore requires a degree of judgement to be applied by management. If the expectations differ from previous estimates, the change is accounted for as a change in accounting estimate.

Reassessing the useful life of an intangible asset with a finite useful life after it was classified as indefinite is an indicator that the asset may be impaired. As a result, the asset is tested for impairment and the remaining carrying amount is amortised over its useful life.

The useful lives of items of intangible assets have been assessed as follows:

Item	Useful life
Trademarks	Indefinite
Franchise incentives or similar	Agreement period
Computer software	3 to 5 years
Brand names	Indefinite

Accounting policy

COST

Intangible assets are carried at cost less any accumulated amortisation and any impairment losses. The amortisation charge, if any, for each period, is recognised in profit or loss.

Internally generated brands, franchise agreements, recipes, customer lists and items similar in substance are not recognised as intangible assets.

AMORTISATION

Goodwill, trademarks and brand names are regarded as having an indefinite useful life when, based on all relevant factors, there is no foreseeable limit to the period over which the asset is expected to generate net cash inflows. However these assets are tested for impairment on an annual basis. If goodwill is assessed to be impaired, the impairment loss is recognised in profit or loss and is not subsequently reversed.

Amortisation is not provided for intangible assets with indefinite life. For all other intangible assets, amortisation is provided on a straight-line basis over their useful lives. The amortisation period and the amortisation method for intangible assets are reviewed every year-end.

IMPAIRMENT

Intangible assets are assessed for impairment as non-financial assets in accordance with accounting policy in Note 13 Profit before tax.

DERECOGNITION

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal.

3. Investments in associates

Name of associate	2026 R000	2025 R000
Sauce Advertising (Pty) Ltd	7 170	3 676
DHQ Interior Brands Architects (Pty) Ltd	5 927	5 365
FoodConnect (Pty) Ltd	9 544	8 143
Munch Software (Pty) Ltd	24 906	25 728
UAC Restaurants Ltd*	–	–
Carrying amount of investments in associates	47 547	42 912
Munch Software (Pty) Ltd	1 707	–
BN Foods (Pty) Ltd	6 738	–
Carrying amount of loans to associates	8 445	–

* The Group also advanced funds to UACR. The loan to UACR matures in December 2027 and accrues interest at 12% per annum. The loan was fully impaired in the prior financial year. Both shareholders provided a letter of support in favour of UACR.

Group's share on aggregated information of associates that are not individually material:

	2026 R000	2025 R000
Profit for the year	11 406	9 851
Total comprehensive income for the year	11 406	9 851

The investment in UACR was fully impaired in February 2022. The comprehensive loss for the year not recognised is R8.2 million (2025: R7.3 million), accumulated losses not recognised is R43.1 million (2025: R34.9 million).



4. Leases

FAMOUS BRANDS AS LESSEE

The Group has commitments arising from 95 (2025: 100) property leases for its own business operations and leases entered into to secure key sites for franchised outlets, refer to Note 19 Commitments. With regard to leases entered into to secure key sites, it is the Group's policy to enter into sub-lease agreements with the franchise partners on the same terms and conditions as those in the main lease.

Lease rentals are negotiated on an average term of five years and escalated at an average rate of between 6% and 8% per annum. No contingent rent is payable.

Lease rentals for UK operations are negotiated on an average term of 10 years, with longer terms based on rent review scheduled on average, every five years based on market conditions existing at the time of review. In addition to the base rent, a number of lease agreements include additional rent based upon turnover achieved in any set period, over an agreed threshold for that period. No other contingent rent is payable.

Lease rentals for Botswana operations are negotiated on an average term of four to five years and an average escalation rate of between 6% and 8%.

4.1. AMOUNTS RECOGNISED IN THE STATEMENT OF FINANCIAL POSITION

Lease liabilities

	2026 R000	2025 R000
Balance at the beginning of the year	297 879	321 902
Disposals	–	(4 704)
Disposal of subsidiaries	(3 216)	(1 978)
Additions	28 522	52 008
Principal repayments of lease obligations	(81 819)	(86 635)
Accretion of interest	27 421	29 527
Payments	(109 240)	(116 162)
Modifications	39 190	20 067
Foreign currency translation	(8 431)	(2 781)
Balance at the end of the year	272 125	297 879
<i>Maturity analysis</i>		
Current liabilities	85 512	73 926
Non-current liabilities	186 613	223 953
Balance at the end of the year	272 125	297 879

Details of the lease rentals and commitments are disclosed in Note 19 Commitments.

	2026 R000	2025 R000
<i>Maturity analysis (gross cash flows)</i>		
The gross future minimum rentals due are repayable as follows:		
Payable within the next 12 months	88 363	95 840
Payable within two to five years	185 628	241 872
Payable thereafter	20 954	34 373
Gross future minimum rentals payable	294 945	372 085
Less: future finance charges	(22 820)	(74 206)
Present value of minimum lease payments	272 125	297 879
Finance costs are disclosed under Note 14.1.		
Right of use assets		
Carrying amount at the beginning of the year	244 483	275 783
Land and buildings	235 170	244 356
Plant and equipment	9 313	31 427
Additions	27 631	47 618
Foreign currency translation	(7 128)	(3 460)
Disposals	–	(3 985)
Depreciation	(79 499)	(85 870)
Land and buildings	(73 186)	(80 188)
Plant and equipment	(6 313)	(5 682)
Disposal of subsidiaries	(1 974)	(1 738)
Modifications	36 062	16 135
Carrying amount at the end of the year	219 575	244 483
Land and buildings	202 995	235 170
Plant and equipment	16 580	9 313



4. Leases (continued)

FAMOUS BRANDS AS LESSOR

The Group enters into headleases over strategic franchise sites which are sub-leased to franchise partners. The average age of leases is five years. All lease contracts contain market review clauses in the event that the lessee exercises its option to renew. To manage the risk relating to the underlying assets, prospective franchise partners are vetted thoroughly to ensure that they will be able to satisfy the financial obligations inherent to a franchise. Many of the leased properties are situated in strategic locations, which makes it easy for the Group to operate them as a company-owned restaurant in an instance where the franchise partner is unable to continue running the restaurant.

	2026 R000	2025 R000
Lease receivables – Head leases		
Carrying amount at the beginning of the year	7 569	5 454
Additions	881	3 168
Modifications	–	3 944
Foreign currency translation	(171)	–
Principal lease receipts	(1 108)	(4 997)
Lease receipts	(2 034)	(5 692)
Finance income	926	695
Carrying amount at the end of the year	7 171	7 569
<i>Gross future minimum rentals receivable</i>		
Receivable within the next 12 months	4 212	4 238
Receivable within one and two years	2 711	3 507
Receivable within two and three years	1 006	2 243
Receivable within three and four years	246	701
Receivable within four and five years	85	–
Total undiscounted lease payments receivable	8 260	10 689
Less: unearned finance income	(1 089)	(3 120)
Net investment in lease receivables	7 171	7 569
<i>Maturity analysis</i>		
Receivable within the next 12 months	2 439	1 680
Receivable within two to five years	4 732	5 889
Net investment in lease receivables	7 171	7 569

Finance income is disclosed under Note 14.2

4.2. AMOUNTS RECOGNISED IN THE STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

The Group elected not to recognise a lease liability for short-term leases (expected term of 12 months or less) or for low value assets. Payments made under such leases are expensed on a straight-line basis during the year.

The expense relating to variable lease payments not included in the measurement of the lease liability are expensed in profit or loss:

Short-term leases	29 813	25 473
Lease of low-value assets	10 901	10 978
Variable lease charges	4 348	4 921
	45 062	41 372

Details of the lease rentals and commitments are disclosed in Note 19 Commitments.

4.3. AMOUNTS RECOGNISED IN THE STATEMENT OF CASHFLOWS

Principal payments on lease obligations	(81 819)	(86 635)
Principal receipts from lease receivables	1 108	4 997

Significant judgements and estimation uncertainty

At the commencement date, a lease liability is measured at the present value of the lease payments that are not paid at that date. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the incremental borrowing rate (IBR) is used. IBR is the rate of interest that a lessee would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The determination of the discount rate considers various factors including forecasted yields, lease period, geographical location, credit spread of the entity and nature of asset being leased. Management judgement determines which factors should be considered in calculating the IBR.

Extension and termination options are included in several leases across the Group. These terms are used to maximise operational flexibility in the management of contracts. The Group applied judgement to determine the lease term for some of the lease contracts, in which it is a lessee, that include renewal options. The assessment of whether the Group is reasonably certain to exercise such options impacts the lease term, which affects the amount of lease liabilities and right-of-use assets recognised.

Where applicable, the cost of the right-of-use assets include an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. The provision is calculated based on actual current quotes and adjusting these with inflation to estimate the future costs, the present value of the future costs is discounted using the rate applicable in the lease.



4. Leases (continued)

Accounting policy

FAMOUS BRANDS AS LESSEE

To the extent that a right-of-control exists over an asset subject to a lease, with a lease term exceeding one year, a right-of-use asset, representing the Group's right to use the underlying leased asset, and a lease liability, representing the Group's obligation to make lease payments, are recognised in the statement of financial position at the commencement of the lease.

The Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include:

- fixed payments (including in-substance fixed payments) less any lease incentives receivable;
- variable lease payments that depend on an index or a rate;
- amounts expected to be paid under residual value guarantees;
- the exercise price of a purchase option reasonably certain to be exercised; and
- lease payments to be made under reasonably certain extension options.

Subsequent measurement for the lease liability is at amortised cost using the effective interest method and finance charge is recognised in profit or loss.

The lease liability is remeasured when there is a modification, change in lease term, lease payments arising from a change in an index or rate, estimate of the amount expected to be payable under residual value guarantee, assessment of whether it will exercise purchase, extension, or termination option or if there is a revised in-substance fixed lease payment. With the rent concession credits, the Group opted to adjust the carrying amount of the right of use asset and balance of the lease liability.

Lease expenses (costs related to leases with a duration of one year or less, variable lease payments – i.e., turnover rentals – and low-value assets (new assets less than R70 000 at inception date) are charged to profit or loss on a straight-line basis over the lease term.

The right-of-use asset is measured at cost, less any accumulated depreciation and impairment losses, and adjusted for remeasurement of lease liabilities. The cost includes:

- the amount of initial measurement of the lease liability;
- any initial direct costs incurred less lease incentives received;
- any advance lease payments; and
- an estimate of the dismantling, removal and restoration costs required in terms of the lease.

The right-of-use asset is depreciated to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term and charged to profit or loss. The lease term shall include the period of an extension option where it is reasonably certain that the option will be exercised. Where the lease contains a purchase option, the asset is written off over the useful life of the asset when it is reasonably certain that the purchase option will be exercised.

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component based on their relative stand-alone prices.

Provision for dismantling is recognised when the Group has a present legal or constructive obligation as a result of a past event, and when it is probable that it will result in an outflow of economic benefits that can be reasonably estimated. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as a finance cost in profit or loss.

Gains or losses on derecognition of leases are recognised in profit or loss.

FAMOUS BRANDS AS LESSOR

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Group is an intermediate lessor (leases entered into for key sites), it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

The Group applies the derecognition and impairment requirements in IFRS 9 *Financial Instruments* to the net investment in the lease.



5. Deferred tax

	2026 R000	2025 R000
Balance at the beginning of the year (net)	3 570	13 792
Movement through profit or loss	975	(10 693)
Current year temporary differences	(18 819)	(10 166)
Prior year overprovision/(under provision)	19 794	(527)
Movement through other comprehensive income		
Current year temporary differences	122	1 060
Foreign currency effect	3 117	(589)
Balance at the end of the year	7 784	3 570
Analysis		
Excess capital allowances over depreciation and amortisation	(175 822)	(178 460)
Property, plant and equipment	(44 488)	(36 099)
Right of use assets	(93 029)	(67 254)
Intangible assets	(38 305)	(75 107)
Lease receivable/payable	(754)	119
Prepayments	(11 192)	(13 965)
Employee benefits	15 330	14 503
Lease liabilities	109 905	79 453
Marketing funds	4 477	14 088
Share-based payment scheme	50 529	60 610
Deferred income current year	15 811	27 048
Other temporary differences	(500)	174
	7 784	3 570
The balance comprises:		
Aggregate of deferred tax assets	80 901	92 542
Aggregate of deferred tax liabilities	(73 117)	(88 972)
	7 784	3 570

Tax losses of R7 million (2025: R6 million) have not been recognised.

Significant judgements and estimation uncertainty

The Group recognises the net future tax benefit related to deferred tax assets to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future. Assessing the recoverability of deferred tax assets requires the Group to make estimates related to expectations of future taxable income. Estimates of future taxable income are based on forecast cash flows from operations and the application of existing tax laws in each jurisdiction.

To the extent that future cash flows and taxable income differ significantly from estimates, the ability of the Group to realise the net deferred tax assets recorded at the end of the reporting period could be impacted.

Accounting policy

Deferred tax is recognised for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of the assets and liabilities at the reporting date.

Deferred tax is not recognised for the following temporary differences:

- the initial recognition of goodwill; or
- the initial recognition of an asset or liability in a transaction which is not a business combination; and at the time of the transaction, affects neither accounting or taxable profit (tax loss); and
- the parent can control the timing of the reversal of the temporary difference; and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax is recognised in profit or loss, except to the extent that it relates to a transaction that is recognised directly in equity or other comprehensive income, or a business combination.

A deferred tax asset is recognised for the carry forward of unused tax losses and/or unutilised capital allowances and recognised to the extent that it is probable that future taxable profit will be available against which the unused tax losses and unutilised capital allowances can be recovered. Previously recognised and unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.



5. Deferred tax (continued)

Accounting policy (continued)

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply during the period when the asset is realised or the liability settled.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset deferred tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities but they intend to settle deferred tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

6. Inventories

	2026 R000	2025 R000
Finished goods	325 947	304 929
Raw materials	200 638	204 540
Stock in transit	22 593	18 396
Consumables	15 186	15 779
Consignment stock	16 032	12 278
	580 396	555 922

When inventories are sold, the cost incurred relating to that inventory is recognised as an expense in cost of sales, for the period in which the related revenue is recognised. Inventory with a carrying amount of R14.2 million was written down (2025: R15.2 million) to its net realisable value of Rnil.

The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period in which the write-down or loss occurs.

The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, is recognised as reduction to the write off expenses.

The net cost of inventory sold reflected in cost of sales was R5.1 billion (2025: R4.7 billion).

Accounting policy

The inventories in the Group primarily consist of the following:

- Finished goods which includes items such as beef and chicken patties, cheese and coffee;
- Raw materials which relate to unprocessed product such as beef and coffee beans;
- Stock in transit which relates to distribution of finished goods;
- Consumables such as spare parts; and
- Consignment stock which is stock legally owned by Famous Brands but is held by a third party.

Inventories are measured at the lower of cost or net realisable value. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimate costs necessary to make the sale. The cost of manufactured inventory and work in progress includes materials and parts, direct labour, other direct costs and includes an appropriate portion of overheads but excludes interest expenses. The cost of inventories is assigned using the weighted average cost formula. The same cost formula is used for all inventories having a similar nature and use to the Group.

CONSUMABLES – STANDBY EQUIPMENT AND CRITICAL SPARE PARTS

The Group purchases spare parts or standby equipment in advance from time to time due to reasons below:

- The machine is discontinued, and the parts are scarce when required.
- The spare part or standby equipment is imported and has a long lead time.

These items are stored at the respective manufacturing plants and only used when necessary thus the spare parts remain idle until installation.

If material spare parts are expected to be used for more than one period, and the economic benefits of these assets are expected to flow to the entity, these are reclassified to property, plant and equipment.



7. Trade and other receivables

	2026 R000	2025 R000
Net trade receivables	489 856	500 110
Trade receivables	522 856	512 159
Impairment allowance	(33 000)	(12 049)
Other receivables	31 616	51 610
Prepayments	34 132	49 092
VAT receivable	8 701	10 393
	564 305	611 205

The Group has a wide customer base and there is no significant concentration of credit risk. One debtor has a current balance in excess of 5% (2025: 4%) of the trade receivables balance amounting to R24.7 million (2025: R23.7 million).

The book value of trade and other receivables approximates the fair value due to the short-term nature of these receivables.

The Group measures the loss allowance for trade receivables at an amount equal to the lifetime expected credit losses based on the simplified approach. Refer to Note 25.4 Credit risk for details on the impairment.

The Group does not hold any collateral security.

Other receivables include the marketing funds deficit balance.

8. Cash

8.1. CASH

Cash and cash equivalents included in the statement of cash flows comprise the following:

Cash and cash equivalents **378 458** 441 436

8.2. RESTRICTED CASH*

25 978 44 075

Cash on hand and bank balances **404 436** 485 511

* *Restricted cash relates to cash used for a specific purpose. It is 'ring-fenced' for franchise marketing services and not available to use for any other business operations. Marketing funds in South Africa are governed by the Consumer Protection Act (CPA). The funds are managed in accordance with this law, refer to Note 12 Revenue.*

Contributions to the Marketing Fund are deposited into a separate Marketing Fund bank account, managed accordingly and used for purposes of the fund only.

The fair value of cash and cash equivalents approximates its book value.

Accounting policy

Cash and cash equivalents comprise cash on hand, demand deposits and other short-term, highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value. Cash and cash equivalents are measured at amortised costs and stated at carrying amount which reflects its fair value.

Bank overdrafts are viewed as part of cash and cash equivalents as they form an integral part of the Group's cash management.

Restricted cash relates to contributions from franchise partners for the marketing funds. The cash in the marketing funds is identified as restricted as it is not available for general use by the Group but is only available to fund future marketing costs in accordance with franchise agreements concluded between the Group and its franchise partners.



9. Equity reserves

	2026 R000	2025 R000
Share capital	1 002	1 002
Share premium	163 441	163 441
	164 443	164 443

9.1. SHARE CAPITAL

Authorised

200 000 000 (2025: 200 000 000) ordinary shares of no par value

2 000 2 000

Issued (Including treasury shares)

100 202 284 (2025: 100 202 284) ordinary shares of no par value

1 002 1 002

Unissued

99 797 716 (2025: 99 797 716) ordinary shares of no par value

998 998

9.2. SHARE PREMIUM

Balance for the year 163 441 163 441

Reconciliation of movements in the number of ordinary shares	2026 Number of shares	2025 Number of shares
Authorised	200 000 000	200 000 000
Issued		
Shares in issue at the beginning of the year	100 202 284	100 202 284
Purchase of treasury shares*	(933 459)	–
Shares in issue for the year	99 268 825	100 202 284

* Weighted average price per share purchased for the year was R57.87 (2025: R0). The current cost of treasury shares amounts to R54 million (2025: R0).

9.3. CASH FLOW HEDGE RESERVE

When accounting for cash flow hedges, the designated effective portions of a hedging relationship are recognised in other comprehensive income. Any changes in excess of the fair value of the designated component are recognised as ineffectiveness through profit or loss. The use of interest rate swaps as hedging instruments is discussed in Note 25.2 Market risk.

The table below shows a reconciliation to the reserve:

	2026 R000	2025 R000
Balance at beginning of the year	723	(2 142)
Recognition of interest swaps fair value movement in other comprehensive income	413	3 925
Deferred tax	(122)	(1 060)
Balance at end of the year	1 014	723

Accounting policy

SHARE CAPITAL AND SHARE PREMIUM

Share capital and share premium represent shares held by holders who are entitled to dividends declared from time to time and who are entitled to voting rights at general meetings held for the companies within the Group.

NON-DISTRIBUTABLE RESERVES

The reserve consists of share-based payment schemes recognised from share-based payments that are to be settled through equity once vesting conditions have been met as well as put option reserves arising from initial designation of equity investment reserves, see details in Note 27 Share-based payments reserve. See below on cash flow hedge reserve included in non-distributable reserves.

CASH FLOW HEDGE RESERVE

The reserve includes the effective portion of fair value changes arising from cash flow hedges related to interest rate swap financial instruments entered into relating to borrowings raised for Group funding requirements.

CHANGE IN OWNERSHIP INTEREST

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between the fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recognised in equity. Gains or losses on disposals to non-controlling interests are also recognised in equity, refer to Statement of changes in equity for movement.

FOREIGN CURRENCY TRANSLATION RESERVE

The reserve includes all foreign currency differences arising from the translation of financial results included in the consolidated financial statements from foreign operations and exchange differences arising on a monetary item that forms part of a net investment in a foreign operation, refer to Statement of changes in equity for movements in the reserve.

TREASURY SHARES

Treasury shares represent shares held by holders who are entitled to dividends declared from time to time, however are not entitled to voting rights at general meetings held for the companies within the Group. When shares recognised as equity are repurchased, the amount of the consideration paid is recognised as a reduction from equity. Repurchased shares are classified as treasury shares and are presented in the treasury share reserve. When treasury shares are sold or reissued subsequently, the amount received is recognised as an increase in equity and the resulting surplus or deficit on the transaction is presented within share premium. Dividend income on treasury shares is eliminated on consolidation.



10. Borrowings

								2026 R000	2025 R000
Long-term borrowings								972 094	907 254
Short-term borrowings								77 272	232 996
Short-term portion of borrowings								75 450	231 701
Non-controlling shareholder loans								1 822	1 295
								1 049 366	1 140 250

	Currency	Maturity date	Interest rate nature	Margin %	Rate	2026 %	2025 %	2026 R000	2025 R000
Loan Facility: Bullet payment loan	ZAR	Dec-30	variable	1.35	3-month JIBAR	8.09	-	400 000	-
Loan Facility: Amortising loan	ZAR	Dec-30	variable	1.20	3-month JIBAR	7.94	-	360 000	-
Loan Facility: Revolving Credit Facility (RCF)	ZAR	Dec-28	variable	1.25	3-month JIBAR	7.99	-	252 552	-
Loan Facility: Amortising loan	ZAR	Aug-27	variable	1.70	3-month JIBAR	-	9.47	-	250 000
Loan Facility: Revolving Credit Facility (RCF)	ZAR	Aug-26	variable	1.75	3-month JIBAR	-	9.52	-	280 000
Loan Facility: Revolving Credit Facility (RCF)	BWP	Aug-26	variable	3.50	Prime	9.51	6.41	20 107	13 947
Loan Facility: Mortgage loan	ZAR	Sep-25	variable	2.15	1-month JIBAR	-	9.62	-	4 706
Loan Facility: Bullet payment loan	ZAR	Aug-26	variable	1.70	3-month JIBAR	-	9.47	-	150 000
Loan Facility: Bullet payment loan	ZAR	Aug-26	variable	1.85	3-month JIBAR	-	9.62	-	200 000
Loan Facility: Amortising loan	ZAR	Nov-26	variable	1.50	Prime	11.75	12.50	9 408	14 473
Loan Facility: Amortising loan	GBP	Sep-25	fixed	1.75	Fixed	-	2.00	-	2 043
Loan Facility: Mortgage loan	ZAR	Apr-35	variable	2.15	1-month JIBAR	-	9.62	-	82 464
Loan Facility: Amortising loan	ZAR	Jan-32	variable		Prime	10.25	11.00	10 065	11 223
Loan Facility: Amortising loan*	ZAR	Feb-27	variable	2.00	3-month JIBAR	-	9.97	-	129 800
Non-controlling shareholder loans**									
Marathon Holdings (Pty) Ltd	ZAR							1 822	1 295
Transaction costs								1 053 954	1 139 951
Interest accrued								(4 757)	-
								169	299
								1 049 366	1 140 250

* As at 28 February 2026, the Group pledged properties with a carrying amount of R283.2 million (2025: R159.5 million) as security for liabilities. The properties pledged consist of land and buildings. Refer to Note 28 Other matters for further information on the refinancing of debt facilities.

** Loans from non-controlling shareholders are unsecured, interest-free and have no repayment terms.

In December 2025, the South African Reserve Bank formally announced the cessation of the use of JIBAR and active transitioning commenced in January 2026. From March 2026, there will no longer be any JIBAR transactions. The Group currently has a number of variable rate debt which reference to JIBAR, all of which are yet to transition to an alternative benchmark interest rate as at 28 February 2026. The Group is managing the transition process to ZARONIA by maintaining proactive engagement with its primary lender.



10. Borrowings (continued)

SENSITIVITY ANALYSIS

A change of 100 basis points in interest rates at the reporting date would have increased/(decreased) profit or loss by R10 million (2025: R11 million).

INTEREST RISK MANAGEMENT

The Group utilises interest rate swap contracts to hedge its exposure to the variability of cash flows arising from unfavourable movements in interest rates, refer Note 25.2 Market risk for further details.

FACILITIES

- The Group has an overdraft facility in place: R100 million (2025: R100 million). Unutilised portion at year-end is R100 million (2025: R100 million).
- The Group has a 1 to 3-year revolving credit facility of R524 million (2025: R428 million). Unutilised portion is R252 million (2025: R133 million) at year end.
- The Group has 2 to 10-year amortising loans of R19 million (2025: R278 million), which are fully utilised.
- The Group has a 5-year amortising loan of R360 million (2025: R128 million), which is fully utilised.
- The Group has 5 years bullet payment loans of R400 million (2025: R350 million), which are fully utilised.

GUARANTEES

Famous Brands Limited, Famous Brands Management Company (Pty) Ltd, Steers Properties (Pty) Ltd, Halamandaris Props (Pty) Ltd, Lamberts Bay Foods (Pty) Ltd and FB Signature Brands (Pty) Ltd, are joint guarantors in terms of the loan agreement:

- Punctual performance by the Group of amounts due in the agreement;
- Immediate payment of amounts due which the Group has not paid; and
- To indemnify the lender against any cost, loss or liability it incurs as a result of the Group not paying amounts that are due.



11. Trade and other payables

	2026 R000	2025 R000
Trade payables and accruals	557 261	614 384
Trade payables	416 237	403 142
Accruals	141 024	211 242
Employee benefits	70 699	79 810
Deferred income	9 045	10 105
VAT payable	30 784	28 493
Put option written over the equity of non-controlling interest	–	35 086
	667 789	767 878

Accruals represent miscellaneous contractual liabilities that relate to expenses that were incurred, but not paid for at year-end.

Deferred income relates to income received in advance for services to franchise partners such as project management for a new build or restaurant revamp or call centre services or any *ad hoc* services from time to time. An amount of R10.1 million (2025: R9.4 million) included in deferred income from prior year has been recognised as revenue based on the Group satisfying the relevant performance obligations over time.

The book value of trade and other payables approximates their fair values due to the short-term nature of the instruments.

The put option written over the equity of non-controlling interest is evergreen and remeasured annually based on the investee's profit before interest and tax. Current year movement relates to remeasurement recognised in profit or loss.

12. Revenue

	2026 R000	2025 R000
Sales-based royalties		
Franchise fees revenue	1 091 652	1 030 195
Leading brands	1 043 057	978 564
Signature brands	48 595	51 631
Marketing fees revenue*	726 169	690 670
Leading brands	712 082	675 918
Signature brands	14 087	14 752
Revenue at point in time		
Manufacturing revenue	147 014	198 036
Owned**	17 481	32 835
Subsidiary	129 533	165 201
Logistics revenue***	5 704 757	5 226 490
Licensed products revenue***	119 213	131 644
Retail revenue	332 667	344 061
Company-owned restaurant revenue	589 116	617 199
Leading brands	436 653	471 506
Signature brands	152 463	145 693
Joining fees	15 194	11 955
Revenue over time		
Service revenue	18 421	32 403
	8 744 203	8 282 653

* Marketing fees revenue relate to funds contributed by franchise partners for the various brands across the Group and are administered in line with the Consumer Protection Act ("CPA") in South Africa.

** Owned relates to Famous Brands Management Company (Pty) Ltd plants.

*** Prior year management reported Logistics revenue including licenced products revenue. This relates to Wimpy UK revenue which was historically reported in franchise fees revenue. This revenue is generated from sales of licensed products, in line with the UK franchise agreement. This revenue stream is presented separately for more useful and meaningful disclosure.

Additional analysis of revenue is provided in the primary (business units) and secondary (geographical) segment report based on the information reviewed by the CODM.



12. Revenue (continued)

Significant judgements and estimation uncertainty

Famous Brands' vertically integrated business model comprises a portfolio of 15 brands represented by a franchise network of restaurants across South Africa (SA), the Rest of Africa and Middle East (AME), and the United Kingdom (UK), underpinned by substantial Logistics and Manufacturing operations.

The business model consists of business relationships between Famous Brands as the franchisor and franchise partners whereby the franchise partners make use of Famous Brands intellectual property and sell menu items to consumers. Revenue earned from the "Brands" is sales-based royalty income from supporting the franchise partners ("Franchise fees revenue") and managing the marketing, product development and related services ("Marketing fees revenue"). These are based on a percentage restaurant turnover, stipulated in the franchising agreements.

The manufacturing division supplies ingredients and products to the logistics division which on-sells to franchise partners and Company-owned restaurants who earn revenue from the sale of these goods. Retail also earns revenue from sale of products to retailers.

Throughout Famous Brands' business model, our main customer is the franchise partner rather than the end-consumer, except where Famous Brands sells manufactured products to its Company-owned restaurants and retailers.

Our categories of disaggregation of revenue depict the nature, amount, timing and cashflows based on business model i.e., where the franchise partner is our independent customer rather than the end-user consumer who is the franchise partner's customer.

MARKETING FUNDS REVENUE

Franchise restaurants are required to spend a percentage of their respective restaurants' sales on marketing programmes with the goal of increasing sales and enhancing the reputation of our Brands. The contributions are primarily used to pay for expenses relating to purchasing media for marketing, market research, commercial production, other support functions for the respective Brands.

We have determined the marketing services provided to franchise partners are highly interrelated with the franchise right and therefore not distinct. Franchise partners contribute to these marketing initiatives a percentage of restaurant sales as consideration for providing the marketing. As a result, revenues for marketing services are recognised when the related franchise restaurant sales occur, thus on a sales-base royalty basis.

We incur marketing expense as a result of our obligation to spend franchise partner contributions to marketing. Such marketing expense is recorded in franchise marketing in the statement of profit or loss and other comprehensive income as and when incurred. At the end of each financial year, additional marketing costs are accrued to the extent that marketing revenues exceed the related marketing expense to date, as we are obligated to expend such amounts on marketing. If the marketing fee expense exceeds the marketing revenue, vice versa, such deficit or excess is recognised in the deficit/surplus account such that the marketing fund activities have no impact on the statement of profit or loss. Any surplus funds are identified as "restricted" cash balances. The cash in the marketing funds is identified as restricted as it is not available for general use by the Group but is only available to fund future marketing costs in accordance with franchise agreements concluded between the Group and its franchise partners.

Accounting policy

Revenue from contracts with customers is recognised when the Group satisfies a performance obligation by transferring control over a product or service to a customer. Revenue is measured based on the consideration specified in the contract and excludes amounts collected on behalf of third parties. Revenue is recognised net of any discounts, returns, allowances, royalty breaks and rebates.

The Group does not have any revenue streams where the period between transfer of the promised goods or services to the franchise partner or customer and payment exceed a year. Thus, no adjustment is made to transaction prices for a financing component. The payment terms across the revenue streams do not generally exceed 90 days, and in some cases payment is before delivery.

Group performance obligations are satisfied at a point in time, over time and in relation to royalty-based income. Refer to the table below for further details.



12. Revenue (continued)

Timing of revenue recognition	Items	Nature of activity	Customer segment	Performance obligation and transaction price
Point in time	- Sales of manufactured and purchased products - Logistics - Sales of products to retailers - Company-owned restaurants - Sale of licensed products	The Group procures or manufacturer to supply food and/or other products to franchise partners, retailers and/or Company-owned restaurants.	- Franchise partners - Retailers - Company-owned restaurants	The performance obligation is satisfied upon delivery and/or sales of a product to the franchise partner, retailers or Company-owned restaurants. The Group also exports manufactured and purchased products to franchise partners. The performance obligation is satisfied upon delivery to the customer. Wimpy UK acts as principal with regards to sale of products by the distributor to the franchise partner. The revenue is recognised at gross with cost paid by the distributor to its supplier and the distributors margin (paid by Wimpy UK to the distributor) recognised in cost of sale in the consolidated financial statements. The transaction price is based on a standalone selling price of the goods.
	Joining fees	The Group charges franchise partners a joining fee for upfront training and setting up the business.	Franchise partners	The performance obligation is satisfied upon the commencement date of the franchise agreement. The transaction price is determined per the franchise agreement.
Over time	Services revenue	The Group provides other services to franchise partners such as project management for new build or restaurant revamp or any ad hoc services from time to time.	Franchise partners	The performance obligation is satisfied over time. The transaction price is based on the price determined per agreement and is non-refundable.
Sales-based royalties	Franchise fees revenue	The Group provides franchise partners with access to the intellectual property, business processes and trademark linked to the brand throughout the period of the franchise agreement.	Franchise partners	The performance obligation is satisfied over time. The transaction price is based on a percentage of the franchise partner's sales as stipulated in the franchise agreement. In an event where the Group grants the franchise partner a royalty break, it accounts for the contract modification as if it were a part of the existing contract and is recognised as an adjustment to revenue (as a reduction of revenue).
	Marketing fees revenue	The Group provides the franchise partners with access to marketing services throughout the period of the franchise agreement.	Franchise partners	The performance obligation is satisfied over time. The transaction price is in the form of a sales-based marketing fee.



13. Profit before tax

	Notes	2026 R000	2025 R000
Profit before tax is arrived at after taking into account, among other items, those detailed below:			
Depreciation of property, plant and equipment	1	183 517	187 659
Amortisation of intangible assets	2	16 120	16 544
Expected credit loss	25.4	23 513	3 034
Directors' remuneration	22	27 705	26 458
Executive directors	22	20 923	19 624
Non-executive directors	22	6 782	6 834
Auditors' remuneration		12 468	13 428
Financial statement audit		11 131	11 358
Other services*		1 337	2 070
Electricity		116 807	111 570
Property insurance		30 025	28 917
Employee expenses		1 149 689	1 074 970
3rd Party Contractor**		71 765	69 109
Share-based payments – equity-settled		29 763	48 908
Foreign exchange differences		4 236	(141)
Remeasurement of non-controlling interest put option		(35 086)	(26 452)
Other Income		(61 895)	(60 746)
Profit on disposal of property, plant, equipment		(2 462)	(7 221)
Gain on derecognition of right-of-use assets		–	(509)
Profit on sale of business***		(1 018)	–
Sundry Income****		(58 415)	(53 016)
Impairments		1 482	3 975
Impairment – Computer software	2	1 424	–
Impairment – Trademark	2	–	800
Impairment – Franchise incentives and similar	2	58	1 263
Impairment – Property, plant and equipment	1	–	1 912
Share of profit of associates	3	(11 406)	(9 851)
Impairment of loan to associate		–	12 392

* Relates to fees paid for independent reviews over subsidiary statutory financial statements.

** Management assessed the disclosure of employee expenses and excluded third party contractors. The adjustment results in a more meaningful presentation.

*** Effective 1 May 2025, the Group sold its 51% shareholding in FB Signature Brands Co Stores (Pty) Ltd, which is now recognised as an associate trading as BN Foods (Pty) Ltd.

**** Sundry income includes the GBK liquidation dividends of R15.3 million (2025: R24.8 million).

Significant judgements and estimation uncertainty

IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group's non-financial assets, other than inventories and deferred tax assets, are reviewed for impairment at each year or whenever events or changes in circumstances indicate that the carrying value may not be recoverable. In addition, intangible assets with an indefinite useful life are tested on an annual basis for impairment. Recoverable amounts are estimated for individual assets or, where an individual asset cannot generate cash inflows independently, the recoverable amount is determined for the larger cash-generating unit to which it belongs.

The recoverable amounts of cash-generating units and individual assets have been determined based on the higher of value-in-use calculations and fair values less costs to sell. The calculations for projected cash flows require the use of estimates and assumptions. These estimated cash flows are based on financial budgets over set years and extrapolated over the useful life of the asset using forecast growth rate. The forecast cash flows and discount rate are post-tax.

Expected future cash flows used to determine the value-in-use of intangible and tangible assets are inherently uncertain and could materially change over time. The accuracy of the impairment models will only be proved by the future performance of the related businesses. It is reasonably possible that the assumptions will change, which may then impact our estimations and may require a material adjustment to the carrying value of intangible and tangible assets. Management determined the fair values using their best estimates.

PROJECTED CASH FLOWS

Management determines the expected performance of the assets based on past performance and its future expectations of market developments. By its very nature, cash flow projections involve uncertainties and the effect of global and local economic outlook creates additional risk. These adjustments took into account performance and economic outlook of the business. The adjustments were on revenue and margins.

DISCOUNT RATE

The weighted average cost of capital (WACC) rate is derived from a pricing model. The variables used in the model are established on the basis of management judgement and current market conditions.

SENSITIVITY ANALYSIS ON VALUE-IN-USE ASSESSMENTS

It is unlikely that any reasonably possible change in the key assumptions will result in a different conclusion.



13. Profit before tax (continued)

Accounting policy

IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses at the end of each year whether there is any indication that an asset may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset. Irrespective of whether there is any indication of impairment, the Group also:

- tests intangible assets with indefinite useful life or intangible assets not yet available for use for impairment annually by comparing their recoverable amounts; and
- tests goodwill acquired in a business combination for impairment annually.

If there is any indication that an asset may be impaired, the recoverable amount is estimated for the individual asset. If it is not possible to estimate the recoverable amount of the individual asset, the recoverable amount of the cash-generating unit to which the asset belongs is determined.

The recoverable amount of an asset or a cash-generating unit is the higher of its fair value less costs to sell and its value-in-use. If the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. That reduction is an impairment loss. An impairment loss of assets carried at cost less any accumulated depreciation or amortisation is recognised immediately in profit or loss.

Goodwill acquired in a business combination is, from the acquisition date, allocated to each of the cash-generating units, or groups of cash-generating units, that are expected to benefit from the synergies of the combination.

The impairment loss is allocated to reduce the carrying amount of the assets of the unit in the following order:

- first, to reduce the carrying amount of any goodwill allocated to the cash-generating unit; and then
- to the other assets of the unit, pro rata based on the carrying amount of each asset in the unit.

The Group assesses at each year whether there is any indication that an impairment loss recognised in prior years for assets other than goodwill may no longer exist or may have decreased. If any such indication exists, the recoverable amounts of those assets are estimated.

A reversal of an impairment loss of assets carried at cost less accumulated depreciation or amortisation other than goodwill is recognised immediately in profit or loss.

14. Net finance costs

	2026 R000	2025 R000
14.1. FINANCE COSTS		
Interest on borrowings	(95 070)	(117 085)
Interest on lease liabilities	(27 421)	(29 527)
Other finance costs	(9 312)	(5 466)
	(131 803)	(152 078)
14.2. FINANCE INCOME		
Interest from lease receivables	925	695
Interest from bank deposits	44 339	46 181
	45 264	46 876
Net finance costs	(86 539)	(105 202)

Accounting policy

FINANCE COSTS

Finance costs comprise interest payable on borrowings and lease liabilities using the effective interest method. All other finance costs are expensed in the period in which they incurred. For the purposes of the statement of cash flows finance costs is classified under operating activities due to the nature of the costs.

FINANCE INCOME

Finance income comprises interest receivable on positive bank balances and lease receivables using the effective interest method. All other finance income is recognised in the period in which they earned. For the purposes of the statement of cash flows, finance income is classified under operating activities due to the nature of the income.



15. Tax

	2026 R000	2025 R000
Normal tax		
Current tax	227 396	211 001
Current year	215 291	211 556
Foreign tax	4 499	7 356
Prior year under/(over) provision	7 606	(7 911)
Deferred tax	(975)	10 693
Current temporary differences	18 819	10 166
Prior year (over)/under provision	(19 794)	527
	226 421	221 694

	2026 %	2025 %
Reconciliation of rate of tax		
South African normal rate of tax	27.0	27.0
Adjustments in rate for year due to:		
Share of profits of associates	(0.4)	(0.3)
Exempt income	(0.1)	(0.9)
Prior year under/(over) provision current tax	0.9	(0.1)
Prior year over/(under) provision deferred tax	(2.2)	1.0
Other non-taxable income	(1.2)	–
Foreign tax differential	0.7	0.4
Profit on sale of business	–	(0.2)
Learnership allowances	(0.2)	(0.2)
Other disallowable expenditure	0.7	(0.8)
Depreciation on leasehold improvements	0.1	0.4
Profit on sale of assets	0.0	(0.1)
Impairment	–	0.8
Tax losses not recognised	0.5	0.5
Effective rate of tax	25.8	27.5

Accounting policy

Current and deferred taxes are recognised in profit or loss for the financial year, except to the extent that the tax arises from items related to other comprehensive income, equity or business combination, in which case it is recognised directly in other comprehensive income, equity or business combination.

Current tax liabilities or assets for the current and prior financial years are measured at the amount expected to be paid to or recovered from the tax authorities, using the tax rates (and tax laws) that have been enacted or substantially enacted by the end of the year.

Current tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.



16. Basic and headline earnings per share

	2026 Cents per share	2025 Cents per share
Attributable to owners of Famous Brands Limited		
Basic earnings per share	600	547
Headline earnings per share	583	520
Diluted earnings per share	600	547
Diluted headline earnings per share	583	520

	2026 Number of shares	2025 Number of shares
16.1. RECONCILIATION OF WEIGHTED AVERAGE NUMBER OF SHARES TO DILUTED WEIGHTED AVERAGE NUMBER OF SHARES		
Weighted average number of shares in issue	100 202 284	100 202 284
Treasury shares	(41 137)	–
Possible issue of ordinary shares in the future relating to the share incentive scheme	152 196	161 617
Diluted weighted average number of shares in issue	100 313 343	100 363 901

	2026 R000	2025 R000
16.2. BASIC AND HEADLINE EARNINGS		
Basic earnings	601 212	547 614
<i>Adjusted for:</i>	(17 240)	(26 636)
Profit on disposal of property, plant and equipment	(2 462)	(7 221)
Tax on profit on disposal of property, plant and equipment	665	1 949
Profit on sale of business	(1 018)	–
Gain on derecognition of right-of-use assets	–	(509)
Tax on derecognition of right-of-use assets	–	137
GBK liquidation dividends	(15 307)	(24 751)
Impairment of intangible assets and property, plant and equipment	1 482	3 975
Tax on impairments	(600)	(216)
Headline earnings	583 972	520 978



17. Cash flow information

	2026 R000	2025 R000
17.1. RECONCILIATION OF PROFIT BEFORE TAX TO CASH GENERATED BY OPERATIONS		
Profit before tax	879 950	806 253
Adjusted for:		
Depreciation of property, plant and equipment	183 517	187 659
Amortisation of intangible assets	16 120	16 544
Impairment of property, plant and equipment	–	1 912
Impairment of intangible assets	1 482	2 063
Impairment of loan to associate	–	12 392
Revaluation of preference shares	(5 982)	(3 084)
Net finance costs expense	86 539	105 202
Profit on disposal of property, plant and equipment	(2 462)	(7 221)
Gain on derecognition of right-of-use asset	–	(509)
Profit on sale of business	(1 018)	–
Share of profits from associates	(11 406)	(9 851)
Share-based payments reserve	29 763	48 908
Movement in expected credit loss	23 513	3 034
Non-controlling interests put option remeasurement	(35 086)	(26 452)
Inventory write-down	14 240	15 193
Other non-cash items	(309)	4 465
Cash generated before changes in working capital	1 178 861	1 156 508
Working capital changes	(43 461)	(35 399)
(Increase)/Decrease in inventories	(39 673)	1 439
Decrease/(Increase) in receivables	20 588	(39 783)
Decrease in restricted cash	18 608	27 620
Decrease in payables	(42 984)	(24 675)
Cash generated from operations	1 135 400	1 121 109

	2026 R000	2025 R000
17.2. RECONCILIATION OF TAX PAID DURING THE YEAR		
Net amount payable at the beginning of the year	(36 117)	(42 053)
Amounts charged to profit or loss	(227 396)	(211 001)
Foreign currency effect	1 073	2 427
Net amount payable at the end of the year	8 546	36 117
Income tax paid	(253 894)	(214 510)
17.3. RECONCILIATION OF DIVIDENDS PAID DURING THE YEAR		
Amounts owing at the beginning of the year	(3 626)	(3 245)
Amounts charged to retained earnings	(357 722)	(314 689)
Amounts owing at the end of the year	3 916	3 626
Dividends paid	(357 432)	(314 308)



17. Cash flow information (continued)

	2026 R000	2025 R000
17.4. SUMMARY OF CASH FLOWS ON ACQUISITIONS, DISPOSALS AND CHANGES IN OWNERSHIP INTERESTS		
<i>Cash inflow on disposal of interests in subsidiaries</i>		
Elegant Armor		
Effective 15 August 2024, the Group disposed of a 90% shareholding in Elegant Armor	–	1 049
Dial n Dine (Pty) Ltd		
Effective 28 February 2025, the Group disposed of a 60% shareholding in Dial n Dine (Pty) Ltd	–	2 824
Cash inflow on disposal of subsidiaries	–	3 873
<i>Cash outflow on acquisition of interests in subsidiaries</i>		
Famous Brands Coffee Company (Pty) Ltd		
Effective 1 March 2024, the Group acquired the remaining 38% shareholding in Famous Brands Coffee Company (Pty) Ltd, for a consideration of R28.3 million.		
Non-controlling interest	–	21 843
Change in ownership interest*	–	6 457
Cash outflow on acquisition of subsidiary	–	28 300
Famous Brands Restaurants Holdings Limited (Mauritius)		
Effective 1 August 2025, the Group acquired the remaining 49% shareholding in Famous Brands Restaurants Holdings for a consideration of R3.1 million.		
Non-controlling interest	2 364	–
Change in ownership interest*	723	–
Cash outflow on acquisition of subsidiary	3 087	–

* Transaction between equity partners.

	2026 R000	2025 R000
17.5. LIABILITIES FROM FINANCING ACTIVITIES RECONCILIATION		
<i>Borrowings</i>		
Balance at beginning of the year	1 138 955	1 199 453
Borrowings raised	1 424 164	100 347
Borrowings repaid	(1 512 777)	(160 562)
Other changes*	(2 798)	(283)
Balance at end of the year	1 047 544	1 138 955
* Other changes include non-cash movements and interest payments included in finance costs.		
<i>Non-controlling shareholder loans</i>		
Carrying value at beginning of the year	1 295	1 787
Loan received/(repaid)	527	(492)
Carrying value at end of the year	1 822	1 295

18. Contingent liabilities

Refer to Note 10 Borrowings for other guarantees and facilities in the Group.

The Group has issued R16.2 million (2025: R16.2 million) suretyship in favour of FirstRand Bank Limited to secure the banking facilities entered into by certain local subsidiary companies.



19. Commitments

	2026 R000	2025 R000
19.1. OPERATING LEASES		
The net future minimum rentals due under operating leases are as follows:		
The gross minimum rentals for low-value leases	10 326	14 831
	10 326	14 831
The gross future minimum rentals due are repayable as follows:		
Payable within the next 12 months	7 035	7 583
Payable within two to five years	3 291	7 248
	10 326	14 831
The operating leases relate to laptop and printer machine rentals for a period of 48 months. Refer to Note 4 Leases for more information relating to commitments related to leases accounted for in terms of IFRS 16 <i>Leases</i> .		
19.2. CAPITAL EXPENDITURE		
Approved by the directors but not contracted for*	297 826	373 189

* This capital expenditure relates to additions and improvements to production facilities, motor vehicles, franchise incentives, computer equipment and furniture and fittings. This expenditure will be financed by internally generated funds.

20. Retirement benefit plans

Employees within the Group are members of 17 (2025: 18) provident funds and 1 (2025: 1) pension fund. 10 (2025: 11) funds are administered by Sygnia Group, 1 fund by Borwa Financial Services and 6 by Sanlam. Each fund provides benefits on a defined contribution basis. The funds are subject to the Pension Funds Act of 1956, as amended. All employees of the Group are eligible to be members of the funds. As at 28 February 2026, the membership of the funds was 1 984 (2025: 1 814) employees. The Group's contribution to the provident funds for the year was R71 million (2025: R71 million). The market value of the investments of the various funds as at 28 February 2026 was R584 million (2025: R424 million).



21. Directors' interests in shares

	2026			2025		
	Beneficial direct interest 000	Beneficial indirect interest 000	Total 000	Beneficial direct interest 000	Beneficial indirect interest 000	Total 000
Executive						
Mr D Hele	197	–	197	165	–	165
Non-executive						
Mr N Halamandaris	581	5 729	6 310	974	5 729	6 703
Mr T Mosololi	2	–	2	2	–	2
	780	5 729	6 509	1 141	5 729	6 870

No director has any non-beneficial interest in the ordinary shares of the company.

The Group has not been advised of any changes in the above interests of the directors between the end of the financial year and date of approval of the report.



22. Directors' remuneration

	For services as directors R000	Remuneration R000	Bonuses R000	Provident fund contributions R000	Other benefits and payments R000	Total R000
28 February 2026						
Executive	–	10 203	6 059	1 018	3 643	20 923
Mr DP Hele	–	5 827	4 099	538	3 499	13 963
Mrs N Shiluvana	–	4 376	1 960	480	144	6 960
Non-executive	6 782	–	–	–	–	6 782
Mr CH Boulle	1 510	–	–	–	–	1 510
Mr AK Maditse	930	–	–	–	–	930
Mr N Halamandaris	724	–	–	–	–	724
Ms F Petersen-Cook	1 059	–	–	–	–	1 059
Mr W Mzimba	807	–	–	–	–	807
Ms B Mathe	939	–	–	–	–	939
Mr T Mosololi	813	–	–	–	–	813
	6 782	10 203	6 059	1 018	3 643	27 705
<i>Less: Paid by subsidiaries</i>	–	(10 203)	(6 059)	(1 018)	(3 643)	(20 923)
	6 782	–	–	–	–	6 782



22. Directors' remuneration (continued)

	For services as directors R000	Remuneration R000	Bonuses R000	Provident fund contributions R000	Other benefits and payments R000	Total R000
28 February 2025						
Executive	–	8 946	6 317	908	3 453	19 624
Mr DP Hele	–	5 464	4 423	511	3 361	13 759
Mrs N Shiluvana	–	3 482	1 894	397	92	5 865
Non-executive	6 834	–	–	–	–	6 834
Mr NJ Adami ¹	279	–	–	–	–	279
Mr CH Boulle	1 261	–	–	–	–	1 261
Ms SL Botha ²	504	–	–	–	–	504
Mr AK Maditse	869	–	–	–	–	869
Mr N Halamandaris	675	–	–	–	–	675
Ms F Petersen-Cook	986	–	–	–	–	986
Mr W Mzimba	734	–	–	–	–	734
Ms B Mathe	822	–	–	–	–	822
Mr T Mosololi	704	–	–	–	–	704
	6 834	8 946	6 317	908	3 453	26 458
Less: Paid by subsidiaries	–	(8 946)	(6 317)	(908)	(3 453)	(19 624)
	6 834	–	–	–	–	6 834

¹ Mr NJ Adami retired on 26 July 2024

² Ms SL Botha retired on 26 July 2024

Directors' remuneration is only reflected from the date upon which an appointment commences and up to the date of resignation. Performance bonuses are disclosed in relation to the bonus paid during the review period.

The following amounts, which have not been included in the remuneration above, were recognised in line with IFRS 2 *Share-based payment*:

	2026				2025			
	Share Appreciation Rights R000	Retention Shares R000	Performance shares R000	Total R000	Share Appreciation Rights R000	Retention Shares R000	Performance shares R000	Total R000
Mr DP Hele	448	110	3 413	3 971	1 327	331	3 844	5 502
Mrs N Shiluvana	–	–	1 596	1 596	–	–	979	979
	448	110	5 009	5 567	1 327	331	4 823	6 481



23. Related party transactions

The Group, in the ordinary course of business, entered into various transactions with related parties.

23.1. FRANCHISE AGREEMENTS

A non-executive director of Famous Brands Limited, had interests in 1 (2025: 1) franchised outlet (Mythos Waterfall). Franchise fees and product sales have been charged under terms and conditions no more favourable than those entered into with third parties. The restaurant was sold to another franchise partner during the current year.

23.2. LEASE AGREEMENTS

The Group leased properties to Ground and Green, an associate. The transactions were conducted at market-related fees prevailing at the time of entering into the transactions.

23.3. SUPPLY AGREEMENTS

The Group entered into a supply agreement with an associate, FoodConnect. The transactions were conducted at market-related fees prevailing at the time of entering into the transactions.

23.4. ADVERTISING FEES

Advertising fees have been paid to an associate, Sauce Advertising. The transactions were conducted at market-related fees prevailing at the time of entering into the transactions.

23.5. DESIGN FEES PAID TO ASSOCIATE

Design fees for the restaurant layout have been paid to an associate, DHQ Interior Brands Architects. The transactions were conducted at market-related fees prevailing at the time of entering into the transactions.

23.6. POINT OF SALE SERVICES PAID TO ASSOCIATE

The Group entered into a point of sale service agreement with an associate, Munch. The transactions were conducted as cost recovery for point of sale devices. Purchased devices are held as consignment stock.

23.7. DETAILS OF TRANSACTIONS AND BALANCES WITH RELATED PARTY ENTITIES

Transactions for the year

	2026 R000	2025 R000
Franchise fee revenue	244	980
Sale of products	64 480	49 833
Purchase of product	50 345	58 247
Advertising fees paid to associate	100 620	96 990
Point of sale services paid to associate	10 029	23 293
Point of sale equipment sold to associate	11 857	15 188
Design fees paid to associate	29 203	24 938
Rental income received from associate	–	359
Dividends declared by associate companies	6 771	6 781
Balances with related parties		
Loans receivable from related parties*	8 445	–
Trade payables to related parties	19 945	14 237
Trade receivables from related parties	6 528	9 784

* Included in the balance is the loan to UAC Restaurants which matures in December 2027 and accrues interest at 12%. The loan is unsecured, interest-free and matures in February 2027. Both shareholders provided a letter of support in favour of UACR. In the prior year, the Group wrote off R12.4 million, fully impairing the balance. The Group sold its 51% shareholding in FB Signature Brands CoStores (Pty) Ltd (now operating as BN Foods (Pty) Ltd but retained its rights to claim the shareholder loan payable to the Group prior to the sale.

23.8. REMUNERATION

Directors' remuneration

The remuneration for directors of the holding company paid during the year by subsidiaries within the Group has been disclosed in Note 22 Directors' remuneration. Executive directors are defined as key management.



24. Schedule of investments in subsidiaries and associates

	Share capital		Interest		Cost of investment in shares		Amounts owing by/(to) subsidiaries	
	2026 R	2025 R	2026 %	2025 %	2026 R000	2025 R000	2026 R000	2025 R000
24.1. DIRECT								
Debonairs Pizza (Pty) Ltd ³	100	–	100	100	110	110	–	–
Famous Brands Management Company (Pty) Ltd ¹	100	100	100	100	220 045	257 383	(1 712)	(420 662)
Fishaways (Pty) Ltd ³	2 000	2 000	100	100	2 269	2 269	–	–
Mugg & Bean Franchising (Pty) Ltd ³	101	101	100	100	100 000	100 000	–	–
Pleasure Foods (Pty) Ltd ⁴	800	800	100	100	–	–	–	–
Pleasure Foods Intellectual Property Company (Pty) Ltd ³	800	800	100	100	107 499	107 499	–	–
Pleasure Foods Property Holdings 1 (Pty) Ltd ¹	–	–	100	100	–	–	–	–
Steers (Pty) Ltd ³	200	200	100	100	6 243	6 243	–	–
The Famous Brands Share Incentive Trust ¹	–	–	100	100	–	–	–	–
Steers Properties (Pty) Ltd ⁶	4 000	4 000	100	100	129 731	129 731	4 769	4 769
Halamandaris Props (Pty) Ltd ⁶	400	400	100	100	1 679	1 679	–	–
Famous Brands Investment (Pty) Ltd ⁷	1	–	100	–	5	–	–	–
Towers & Trees (Pty) Ltd ²	100	100	100	100	–	–	–	–
24.2. INDIRECT								
4 E Holdings (Pty) Ltd ³	120	120	100	100	–	–	–	–
BC Hospitality (Lupa) ¹	100	100	100	100	–	–	–	–
Brickhouse Trading (Pty) Ltd ⁶	–	–	100	100	–	–	–	–
Cater Chain Foodservices (Pty) Ltd ¹	100	100	75	75	–	–	–	–
Famous Brands Cheese Company (Pty) Ltd ¹	100	100	51	51	–	–	–	–
Famous Brands Franchising Kenya Limited ¹	20 619 172	20 619 172	100	100	–	–	–	–
Famous Brands Group (Zambia) Limited ¹	11 373	11 373	100	100	–	–	–	–
Famous Brands Lilongwe ¹	179	179	100	100	–	–	–	–
FB Manco Restaurant Management LLC	1 046 608	1 046 608	100	100	–	–	–	–
Famous Brands Management Namibia (Pty) Ltd	–	–	100	100	–	–	–	–
Famous Brands Restaurant Holdings Limited	11 332 100	11 332 100	100	51	–	–	–	–
Coolsite Trading (Pty) Ltd ⁴	7 418 466	7 418 466	70	70	–	–	–	–
Chilango (Pty) Ltd ¹	1 000	1 000	100	100	–	–	–	–
Creative Coffee Franchise Systems (Pty) Ltd ¹	750 100	750 100	100	100	–	–	–	–
Famous Brands Coffee Company (Pty)Ltd ¹	100	100	100	100	–	–	–	–



24. Schedule of investments in subsidiaries and associates (continued)

	Share capital		Interest		Cost of investment in shares		Amounts owing by/(to) subsidiaries	
	2026 R	2025 R	2026 %	2025 %	2026 R000	2025 R000	2026 R000	2025 R000
24.2. INDIRECT (continued)								
Five Star Performance (Pty) Ltd ¹	6 500 000	6 500 000	51	51	–	–	–	–
Gorilla Holdings Limited ²	41	41	100	100	–	–	–	–
FB Signature Brands (Pty) Ltd ¹	32 000 000	32 000 000	100	100	–	–	–	–
Lamberts Bay Foods (Pty) Ltd ¹	52 700	52 700	100	100	–	–	–	–
Lexi's Healthy Eatery (Pty) Ltd	–	–	51	51	–	–	–	–
Lunar Thought Trading (Pty) Ltd ¹	–	–	100	100	–	–	–	–
Marble Olympia Trading (Pty) Ltd ⁴	–	–	100	100	–	–	–	–
Marathon Holdings (Pty) Ltd ¹	32 595 715	32 595 715	92,5	92,5	–	–	–	–
Opal Octopus Trading (Pty) Ltd ⁴	–	–	100	100	–	–	–	–
Pink Potato Trading 103 (Pty) Ltd ¹	87	87	75	75	–	–	–	–
Quickstep Investment 10 (Pty) Ltd ⁴	1 000	1 000	100	100	–	–	–	–
Retail Group Botswana ¹	249	249	51	51	–	–	–	–
Rising Rapids Trade and Invest (Pty) Ltd ¹	–	–	100	100	–	–	–	–
Sapphire Stag Trade and Invest (Pty) Ltd ¹	3 296 507	3 296 507	100	100	–	–	–	–
Souldance Holdings 11 (Pty) Ltd ¹	100	100	100	100	–	–	–	–
Vovo Telo Bakery and Café (Pty) Ltd ¹	1 000	1 000	100	100	–	–	–	–
Venus Solutions Ltd ²	42 613 800	42 613 800	100	100	–	–	–	–
Wakaberry™ Holdings (Pty) Ltd ⁴	1 386 929	1 000	100	100	–	–	–	–
Wimpy Marketing Fund (Pty) Ltd ⁴	2	2	100	100	–	–	–	–
					567 581	604 915	3 057	(415 893)

All the above subsidiaries are incorporated in South Africa, except for Venus Solutions Limited (incorporated in the United Kingdom), Retail Group Botswana (incorporated in Botswana), Famous Brands Lilongwe (incorporated in Malawi), Gorilla Holdings Limited and Famous Brands Restaurant Holdings Limited (incorporated in Mauritius), FB Manco Restaurant Management LLC (incorporated in UAE), Famous Brands Management Namibia (Pty) Ltd (incorporated in Namibia) and Famous Brands Franchising Kenya Limited (Incorporated in Kenya).

Main business:

^{1.} Franchisor, product manufacture, distribution, management and/or administration.

^{2.} Holding company.

^{3.} Trademark owner.

^{4.} Dormant.

^{5.} Deregistered or sold or administration.

^{6.} Property holding.

^{7.} Treasury share company.



24. Schedule of investments in subsidiaries and associates (continued)

	Principal activity	Place of incorporation and operation	Year end	Effective date of acquisition	Interest 2026 %	Interest 2025 %
24.3. ASSOCIATES						
UAC Restaurant Ltd	Quick Service Restaurants	Nigeria	31 December	1 October 2013	49	49
Sauce Advertising (Pty) Ltd	Advertising	South Africa	28 February	1 March 2013	37	37
DHQ Interior Brands Architects (Pty) Ltd	Restaurant design	South Africa	28 February	1 March 2021	48.5	48.5
Food Connect (Pty) Ltd	Distribution	South Africa	28 February	1 June 2018	49	49
Munch Software (Pty) Ltd	Point of sale	South Africa	28 February	1 May 2023	45.5	45.5
BN Foods (Pty) Ltd	Casual Dining Restaurant	South Africa	28 February	1 May 2025	49	–



24. Schedule of investments in subsidiaries and associates (continued)

24.4. INVESTMENT IN SUBSIDIARIES WITH MATERIAL NON-CONTROLLING INTERESTS

Famous Brands Cheese Company (Pty) Ltd

Famous Brands Limited has an indirect interest of 51% in Famous Brands Cheese Company (Pty) Ltd, a company involved in the production of cheese. The company's principal place of business is Cable Road, Zone 3, Coega, Eastern Cape. The information below summarises the financial position and performance of the subsidiary:

	2026 R000	2025 R000
Current assets	226 035	186 504
Non-current assets	60 255	67 409
Current liabilities	(56 939)	(55 124)
Non-current liabilities	(21 039)	(28 488)
Net assets of the subsidiary	208 312	170 301
Revenue	757 120	724 174
Profit before tax	133 685	95 511
Profit for the year	98 011	69 002
Total comprehensive income for the year	98 011	69 002
Profit for the year allocated to non-controlling interest	48 025	33 811
Accumulated non-controlling interests	102 322	83 697
Dividends paid to non-controlling interests	29 400	19 600
Net cash inflow from operating activities	38 928	52 384
Net cash outflow from investing activities	(5 106)	(6 187)
Net cash outflow from financing activities	(7 374)	(6 424)

Cater Chain Food Services (Pty) Ltd

Famous Brands Limited has an indirect interest of 75% in Cater Chain Food Services (Pty) Ltd Group, a Group involved in general meat trading. The group's principal place of business is 30 Angus Rd, City Deep, Johannesburg, Gauteng. The information below summarises the financial position and performance of the subsidiary:

	2026 R000	2025 R000
Current assets	141 003	118 834
Non-current assets	35 848	27 952
Current liabilities	(44 534)	(31 933)
Non-current liabilities	(808)	(3 766)
Net assets of the subsidiary	131 509	111 087
Revenue	678 675	535 036
Profit before tax	39 445	28 261
Profit for the year	32 522	19 215
Total comprehensive income for the year	32 522	19 215
Profit for the year allocated to non-controlling interest	8 130	4 804
Accumulated non-controlling interests	33 021	27 916
Dividends paid to non-controlling interests	3 025	2 750
Net cash inflow from operating activities	16 874	33 120
Net cash outflow from investing activities	(7 807)	(1 931)
Net cash outflow from financing activities	(4 904)	(4 479)



25. Financial instruments and risk management

Financial risk management

The Group has exposure to the following risks from its use of financial instruments: market risk (foreign exchange, interest rate), liquidity risk, credit risk and capital risk. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing financial risk, and the Group's management of capital.

The Board of Directors has approved strategies for the management of financial risks which are in line with corporate objectives. These guidelines set up the short-term and long-term objectives and actions to be taken in order to manage the financial risk exposure of the Group.

The major guidelines of this policy are the following:

- to minimise interest rate, currency and market risk for all transactions;
- to ensure that all financial risk management activities are carried out and monitored at a central level; and
- to ensure that all financial risk management activities are carried out on a prudent and consistent basis.

The Group's audit committee oversees how management monitors compliance with the risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of the risk management controls and procedures. The results are reported to the audit committee and management for remediation.

25.1. ACCOUNTING CLASSIFICATIONS AND FAIR VALUES

The table below sets out the classification of financial assets and liabilities carrying amounts as well as a comparison to their fair values. The different fair value levels are described below:

Level 1: Quoted prices (adjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Unobservable inputs for the asset or liability.

Level 2 financial instruments: the fair value of all external over-the-counter derivatives is calculated based on the discount rate adjustment technique. The discount rate used is derived from observable rates of return for comparable assets or liabilities traded in the market. The credit risk of the external counterparty is incorporated into the calculation of fair values of financial assets and credit risk is incorporated in the measurement of financial liabilities. The change in fair value is therefore impacted by movements in interest rate curves, the volatility of the applied credit spreads, and changes to the credit profile of the involved parties.

	2026 Carrying amount R000	2025 Carrying amount R000
Financial assets		
Measured at amortised cost:		
Trade and other receivables	521 472	551 720
Lease receivables	7 171	7 569
Restricted cash	25 978	44 075
Cash and cash equivalents	378 458	441 436
Loans to associate	8 445	–
	941 524	1 044 800
Financial liabilities		
Measured at amortised cost:		
Trade and other payables	557 261	614 888
Shareholders for dividends	3 916	3 626
Lease liabilities	272 125	297 879
Borrowings	1 049 366	1 140 250
	1 882 668	2 056 643

The carrying amounts of financial assets and financial liabilities classified at amortised cost are considered to approximate the fair values.

	Level	2026 Carrying amount R000	2025 Carrying amount R000
Derivative financial instruments			
Assets			
Fair value through profit or loss			
Foreign exchange contracts	2	–	228
		–	228
Liabilities			
Fair value through profit or loss			
Foreign exchange contracts		58	–
Fair value through other comprehensive income			
Interest-rate swaps	2	1 266	812
		1 324	812



25. Financial instruments and risk management (continued)

	Level	2026 Carrying amount R000	2025 Carrying amount R000
Financial instruments at fair value through profit or loss			
Assets			
Fair value through profit or loss			
Investment in preference shares	3	18 097	12 115
Investment in preference shares (insurance cell captive)			
Reconciliation to carrying amounts:			
Carrying amount at the beginning of the year		12 115	9 031
Fair value adjustment		5 982	3 084
Carrying amount at the end of the year*		18 097	12 115

* Investment valuation based on net asset value of the cell captive.

25.2. MARKET RISK

Interest rate risk

The following table analyses the breakdown of liabilities by type of interest rate:

Variable rate instruments

Derivative financial instruments

Interest-rate swap assets

Borrowings

10 (1 049 366) (1 138 207)

Fixed rate instruments

Borrowings

10 – (2 043)

Lease liabilities

4 (272 125) (297 879)

(1 320 225) (1 437 315)

Sensitivity analysis

A hypothetical increase/(decrease) in interest rates by 100 basis points, with all other variables remaining constant, would decrease/(increase) profit after tax and equity by R7.7 million (2025: R8.3 million).

The analysis has been performed for variable interest rate financial liabilities. The impact of a change in interest rates on floating interest financial liabilities has been assessed in terms of the changing of their cash flows and net expenses.

The Group's operating income and operating cash flows are substantially independent of changes in market interest rates.

Interest-rate swaps

The Group rolled forward its existing interest rate swap contracts that entitle it to pay fixed interest rates on notional principal amounts relating to interestbearing borrowings raised at floating interest rates (refer Note 10 Borrowings). Derivatives are only used for economic hedging purposes and not as speculative investments.

The Group renewed the timing of executing hedges for its new debt facilities. At year-end the pricing of existing interest rates was considered appropriate with the Group to engage in new agreements in line with the new tenor.

The hedging objective is to achieve cash flow certainty regarding interest payments. In order to mitigate against the risk of not benefiting from potential decreases in interest rates, the Group's policy is to hedge between 40% and 60% of the underlying interest bearing instrument, with the aim of matching the critical terms of the hedging instrument to that of the underlying debt.

The Group assesses prospective hedge effectiveness by ensuring the critical terms (including interest reset dates and term of the loan facility) are matched, thus the hedge is expected to be highly effective. The Group assesses the hedge effectiveness by comparing the changes in fair value of hypothetical derivatives reflecting the terms of the interest bearing borrowings' movement in interest with the changes in fair value of the interest rate swaps.

The Group uses the hypothetical derivative method to determine the change in fair value of the hedged item on a cumulative basis.

The Group determines the hedge ratio by comparing the notional amount of the derivative with the notional principal debt of the interest bearing borrowings. If the loan granted has an amortising principal, the Group enters into interest rate swaps with an equivalent amortising notional amount.

The Group has identified the following possible sources of ineffectiveness in its cash flow hedge relationships:

- The use of derivatives as a protection against interest rate risk creates an exposure to the derivative counterparty's credit risk which is not offset by the hedged item. This risk is minimised by entering into derivatives with high credit quality counterparties;
- Difference in tenor of hedged items and hedging instruments;
- Use of different discounting curves for hedged items and hedging instruments, because for interest rate swaps the discounting curve used depends on collateralisation and the type of collateral used;
- Difference in timing of settlement of the hedging instrument and hedged item; and
- Designation of off-market hedging instruments.



25. Financial instruments and risk management (continued)

25.2 MARKET RISK (CONTINUED)

The tables below sets out the details of the interest rate swap contracts including the notional amounts, fair values and base variables:

		2026		2025	
	Maturity date	Notional amount R000	Fixed interest rate %	Notional amount R000	Fixed interest rate %
Term loans (swap from variable to fixed)					
Amortising loan	Aug-25	–	–	90 000	7.57
Amortising loan	Aug-26	120 000	7.77	120 000	7.77
Amortising loan	May-27	210 000	7.58	210 000	7.58

The table below sets out the details of the fair values of the financial instruments, fair value for determining hedge ineffectiveness and line impacted in the statement of financial position:

	2026 R000	2025 R000
Derivative financial instruments (interest rate swaps)	1 266	812



25. Financial instruments and risk management (continued)

25.2 MARKET RISK (CONTINUED)

Foreign currency risk

Since the Group operates internationally, it is exposed to foreign currency risk in its normal commercial businesses. On occasion, the Group hedges transactional foreign exchange exposures.

The Group has certain investments in foreign operations whose net assets are exposed to foreign currency translation risk.

Financial assets and financial liabilities are analysed by currency as follows:

	2026				
	Mauritian Rupee*	United Arab Emirates Dirham*	GB Pound*	Zambian Kwacha*	Botswana Pula*
Financial assets					
Trade and other receivables	–	491	758	7 948	5 391
Cash and cash equivalents	2 303	3	2 003	2 960	5 384
Lease receivables	–	–	90	–	–
Financial liabilities					
Borrowings	–	–	–	–	(16 600)
Trade and other payables	(12 889)	(887)	(431)	(442)	(25 535)
Lease liabilities	(40 505)	–	(108)	(1 862)	(45 060)
	(51 091)	(393)	2 312	8 604	(76 420)
* Currency unit thousands					
Exchange rates used for conversion of foreign amounts to the South African Rand were (R):	0.34	4.34	21.49	0.84	1.21
Sensitivity analysis					
At reporting date, if the Rand had weakened/strengthened by 10% against any currency above, with all other variables held constant, total comprehensive income for the year and equity would have decreased/increased as follows (R'000):	1 737	(170)	4 968	726	(9 246)



25. Financial instruments and risk management (continued)

25.2 MARKET RISK (CONTINUED)

	2025				
	Mauritian Rupee*	United Arab Emirates Dirham*	GB Pound*	Zambian Kwacha*	Botswana Pula*
Financial assets					
Trade and other receivables	1 955	527	812	10 700	2 688
Cash and cash equivalents	22 868	107	3 018	7 398	4 554
Lease receivable	–	–	129	–	–
Financial liabilities					
Borrowings	–	–	(87)	–	(10 408)
Trade and other payables	(12 360)	(1 041)	(817)	(1 668)	(19 594)
Lease liabilities	(55 670)	–	(139)	(288)	(38 449)
	(43 207)	(407)	2 916	16 142	(61 209)
* Currency unit thousands					
Exchange rates used for conversion of foreign amounts to the South African Rand were (R):	0.40	5.05	23.35	0.65	1.34
Sensitivity analysis					
At reporting date, if the rand had weakened/strengthened by 10% against any currency above, with all other variables held constant, total comprehensive income for the year and equity would have decreased/increased as follows (R'000):	(1 728)	(206)	6 809	1 049	(8 202)

25.3. LIQUIDITY RISK

The Group manages liquidity risk on the basis of expected maturity dates, through an ongoing review of future commitments and credit facilities managed centrally. Cash flow forecasts are prepared to monitor inflows and outflows, adequate borrowing facilities are secured and utilisation monitored. The borrowings are subject to financial covenants per Note 26 Capital management and any non-compliance with financial covenants could trigger early settlement of the facilities.

The Group maintains its liquidity position by conserving the Group's cash resources through continued focus on working capital improvement, cost savings and capital reprioritisation also considering our growth plan. Group treasury prepares regular cash flow forecasts, monitors cash holdings, negotiates with financiers and oversees compliance with treasury policies.

The Group meets its financing requirements through a combination of cash generated from its operations and, short and long-term borrowings and strives to maintain adequate banking facilities and borrowings.



25. Financial instruments and risk management (continued)

25.3 LIQUIDITY RISK (CONTINUED)

The following table analyses financial liabilities by remaining contractual maturity (contractual and undiscounted cash flows).

	2026				
	Carrying Amount R000	Less than 1 year R000	2–5 years R000	Thereafter R000	Total R000
Group					
Borrowings	1 049 366	186 217	1 150 716	2 085	1 339 018
Trade and other payables	557 261	557 261	–	–	557 261
Shareholders for dividends	3 916	3 916	–	–	3 916
Lease liabilities	272 125	88 363	185 628	20 954	294 945
Derivative financial instruments	58	58	–	–	58
	1 882 726	835 815	1 336 344	23 039	2 195 198
2025					
	Carrying Amount R000	Less than 1 year R000	2–5 years R000	Thereafter R000	Total R000
Group					
Borrowings	1 140 250	323 784	975 510	–	1 299 294
Trade and other payables	649 470	649 470	–	–	649 470
Shareholders for dividends	3 626	3 626	–	–	3 626
Lease liabilities	297 879	95 840	241 872	34 373	372 085
	2 091 225	1 072 720	1 217 382	34 373	2 324 475

The carrying amount of the current financial liabilities approximates the fair value at the reporting date.

At present the Group expects to pay all liabilities at their contractual maturity. In order to meet such cash commitments the Group expects operating activities to generate sufficient cash inflows. In addition, the Group holds financial assets for which there is a liquid market and that are readily available to meet liquidity needs.

Restricted cash balances of R26 million (2025: R44 million), as detailed in Note 8 Cash, are not available for general use and excluded when assessing liquidity.

The Group has sufficient undrawn facilities to manage shortfalls in operational cash flows. Refer to Note 10 Borrowings for details on the facilities. The Group expects to meet its obligations from operating cash flows.



25. Financial instruments and risk management (continued)

25.4. CREDIT RISK

Credit risk is managed on a Group-wide basis. Credit risk mainly relates to cash deposits, cash equivalents and trade receivables. The Group only deposits cash with major banks with high-quality credit standing and limits exposure to any one counterparty.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of default occurring on the financial instrument at the reporting date against the risk of default occurring on the financial instrument at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. Forward looking information considered includes the future prospects of the industries in which the Group's debtors operate, obtained from economic reports, financial analysts, governmental bodies as well as consideration of various external sources of actual and forecast economic information that relate to the Group's core operations.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly since initial recognition:

- an actual or expected significant deterioration in the financial instrument's external (if available) or internal credit rating;
- significant deterioration in external market indicators of credit risk for a particular financial instrument, e.g. a significant increase in the credit spread, or the length of time or the extent to which the fair value of a financial asset has been less than its amortised cost;
- existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor's ability to meet its debt obligations; and
- an actual or expected significant deterioration in the operating results of the debtor.

The maximum exposure to credit risk at the reporting date is the carrying amount of the financial assets below.

Cash and cash equivalents

Cash and cash equivalents are held with financial institution counterparties, with a local currency deposit rating "B", based on Standard & Poor's. These financial institutions also have a stable outlook. The Group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties.

The expected credit loss on cash and cash equivalents have been assessed to be insignificant.

Derivative financial instruments

Derivatives financial instruments relate to interest rate swaps contracts entered into with Nedbank. The bank is rated "B and BB+" and "BB+" based on Standard & Poor's and Fitch rating agencies. The Group considers its derivative assets to have low credit risk based on the external credit ratings of the counterparties.

Trade and other receivables

Trade receivables comprise a widespread customer base, mainly franchise partners and some retailers. Management evaluates credit risk relating to customers on an ongoing basis. If customers are independently rated through a credit rating agency, these ratings are used. If there is no independent credit rating, management assesses the credit quality of the customer, taking into account the customer's financial position, past experience and other factors. Individual risk limits are set based on internal ratings.

Customers have been segmented into groupings. The franchise partners credit risk is assessed on product and leasing activities. Management regularly reviews the receivables age analysis and follows up on outstanding receivables.

Expected credit loss

The Group applies the simplified IFRS 9 *Financial Instruments* approach to measure expected credit loss. The simplified approach considers the lifetime expected loss allowance for all trade receivables. The Group calculates expected losses based on consideration of a portfolio of customers, and where necessary at customer-specific and actual credit loss experienced over the past three years. The Group also conducts qualitative assessments on trade receivables which includes product, franchise fees and rental agreements.

The impact of qualitative assessments was immaterial and the results were aligned to the impairment calculation.

To measure the expected credit losses, trade receivables are grouped based on the date of initial recognition and similar credit risk characteristics. The expected credit loss is mainly on product and franchise fees, as expected credit loss on rental is considered immaterial.

Default on a financial occurs when a franchise partner:

- has closed a restaurant and there is an amount outstanding in the trade receivables related to the franchise;
- fails to make contractual payments within 90 days after they past due; or
- is bankrupt or under business rescue or under liquidation.

Under the provision matrix, the expected credit loss is calculated by applying a loss ratio to the aged balance of trade receivables at each reporting date. A loss rate is then applied for determining the impairment allowance. The historical loss rate is determined



25. Financial instruments and risk management (continued)

25.4 CREDIT RISK (CONTINUED)

Expected credit loss (continued)

based on impairment trends identified in previous years. The loss ratio is calculated according to the ageing profile of sales by applying write-offs to the payment profile of customers. To ensure that the loss rate used to determine impairment is relevant to the current financial year, forward looking information, such as, macroeconomic developments are taken into account in arriving to the loss rate. The impairment allowance of R33 million (2025: R12 million) approximates 6% (2025: 2%) of the gross trade receivables, was mainly against past due portfolio of debtors.

Irrespective of the outcome of the excepted credit loss assessment, the Group presumes that exposure to trade receivables credit risk has increased significantly since initial recognition when contractual payments are more than 30 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

The following table details the risk profile of trade receivables based on the Group's trade receivable ageing and expected credit loss reconciliation.

	2026			
	Gross R000	Impairment R000	Net R000	Average ECL/ Impairment ratio (%)
Performing	473 507	(10 010)	463 497	2
Past due	49 349	(22 990)	26 359	47
31 – 60 days	7 702	(1 385)	6 317	18
61 – 90 days	6 149	(2 622)	3 527	43
91 days and beyond	35 498	(18 983)	16 515	53
Total	522 856	(33 000)	489 856	6

2025

	Gross R000	Impairment R000	Net R000	Average ECL/ Impairment ratio (%)
Performing	480 089	(20)	480 070	–
Past due	32 070	(12 029)	20 041	38
31 – 60 days	7 876	(178)	7 698	2
61 – 90 days	7 062	(333)	6 729	5
91 days and beyond	17 132	(11 518)	5 614	67
Total	512 159	(12 049)	500 111	2

Trade receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, debtors experiencing significant financial difficulties, and probability that the debtor will enter bankruptcy, business rescue, liquidation or financial reorganisation.

Trade receivables of R2 million (2025: R0.1 million) written off during the financial year are still subject to enforcement activity.

The following table details the Group's trade receivables impairment allowance reconciliation based on the Group's expected credit loss

	2026 R000	2025 R000
Reconciliation of trade receivables impairment allowance		
Balance at the beginning of the year	12 049	9 086
Amounts accrued for during the year	23 513	3 034
Amounts written off as uncollectible	(2 562)	(71)
Balance at the end of the year	33 000	12 049



25. Financial instruments and risk management (continued)

Accounting policy

CLASSIFICATION

The Group classifies financial assets into the following categories:

- amortised cost;
- fair value through other comprehensive income; or
- fair value through profit or loss (FVTPL).

Classification is based on the contractual cash flow characteristics and the Group's business model for managing financial assets and cash flow characteristics of the financial asset. Financial liabilities are classified and measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

INITIAL RECOGNITION AND MEASUREMENT

Financial instruments are recognised initially when the Group becomes a party to the contractual provisions of the instruments.

The Group classifies financial instruments, or their component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement.

Financial instruments are measured initially at fair value plus, in the case of financial instruments not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition, or issue of the financial asset or liability. Transaction costs of financial instruments carried at fair value through profit or loss are expensed in profit or loss.

SUBSEQUENT MEASUREMENT

Financial instruments at fair value through other comprehensive income are measured at fair value. Movements in the carrying amount of these instruments are taken to other comprehensive income, except for impairment, interest income and foreign exchange gains or losses that are recognised in profit or loss.

Financial instruments at fair value through profit or loss are subsequently measured at fair value. Gains or losses arising on remeasurement of these assets are recognised in profit or loss. These include the following:

- Derivatives (including interest rate swaps and foreign exchange contracts)
- Investment in preference shares

Financial assets at amortised cost are subsequently measured at amortised cost using the effective interest method less impairment. Interest income, foreign exchange gains or losses and impairment are recognised in profit or loss. These include the following:

- Trade and other receivables;
- Lease receivables; and
- Cash and cash equivalents.

Financial liabilities at amortised cost are subsequently measured, using the effective interest rate method. These include the following:

- Trade and other payables;
- Borrowings;
- Bank overdraft;
- Lease liabilities; and
- Loans to associates



25. Financial instruments and risk management (continued)

Accounting policy (continued)

DERECOGNITION

Financial assets are derecognised when the contractual rights to the cash flows from the financial asset expire or the Group transfers the financial asset and the transfer qualifies for derecognition.

The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss except for equity investments, where the Group has made an election to present fair value gains or losses on equity investments in other comprehensive income. There is no subsequent reclassification on derecognition of the investment.

Any gain or loss on derecognition of financial assets at amortised cost is recognised in profit or loss.

Financial liabilities are derecognised when the obligation specified in the contract is discharged, cancelled or expires.

MODIFICATION OF FINANCIAL LIABILITIES

A substantial modification of the terms of an existing debt instrument or part of it is accounted for as an extinguishment of the original debt instrument and the recognition of a new debt instrument.

Gains or losses arising from the modification of the terms of a debt instrument are recognised immediately in profit or loss where the modification does not result in the derecognition of the existing instrument.

OFFSETTING FINANCIAL INSTRUMENTS

Offsetting of financial assets and liabilities is applied when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The net amount is reported in the statement of financial position.

IMPAIRMENT OF FINANCIAL ASSETS

The impairment allowance represents the Group's estimate of lifetime expected credit losses, which are the present value of the cash shortfalls over the expected life of the financial assets. The Group applies the simplified approach in determining credit losses for all trade and lease receivables. The determination of the impairment allowance requires the expected lifetime losses to be recognised from initial recognition of the receivables calculated using a provision matrix. This takes into account past events, current conditions, reasonable and supportable forward-looking information that is available without undue cost or effort, probability weighted scenarios and impact of the time value of money.

The impairment allowance for the financial assets measured at amortised cost are deducted from the gross carrying amount of the asset. This is recognised in profit or loss. The Group reassess the life-time expected credit losses at each reporting date and recognises any changes in profit or loss.

HEDGE ACCOUNTING

The Group enters into forward exchange contracts, and interest rate swap contracts to hedge its exposure to foreign exchange and interest rate risk.

Changes in the fair value of derivative instruments that are not formally designated in a hedging relationship are recognised immediately in profit or loss.

For qualifying cash flow hedges, the fair value gain or loss on the hedging instrument associated with the effective portion of the cash flow hedge is recognised initially in other comprehensive income within hedge accounting reserve, limited to the cumulative change in the fair value of the hedged item since inception of the hedge, and then recycled to profit or loss in the reporting periods when the hedged item affects profit or loss. Any ineffective portion of the gain or loss on the hedging instrument is recognised in profit or loss immediately. When a hedging instrument expires or is sold, or when a hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss existing in equity at that time remains in equity and is recognised when the hedged item is ultimately recognised in profit or loss.

When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was recognised in equity is immediately transferred to profit or loss.

INSURANCE CELL CAPTIVE

The Group is exposed to financial risk rather than insurance risk and has therefore accounted for its investment in the cell captive as an asset held at fair value through profit or loss (FVTPL) in accordance with IFRS 9 *Financial Instruments*.

The fair value of the Group's short-term insurance cell captive underwritten by an insurer is determined monthly with reference to the net asset value of the cell captive, as determined by the insurer.

The fair value adjustments are recognised in profit or loss.



26. Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern, to provide sustainable returns for shareholders, benefits for other stakeholders and to maintain, over time, an optimal structure to reduce the cost of capital.

The capital structure of the Group consists of Note 8.1 Cash, Note 10 Borrowings, Note 4 Leases and Note 9 Equity reserves as disclosed in the statement of financial position.

Financial covenants

The Group's borrowings (Note 10 Borrowings) are subject to the following financial covenants. Management regularly monitors and reviews compliance of these ratios in line with the funding agreement. These financial covenants are based on the contractual terms of the debt facility. The covenants are limited to the SA business.

Dates	Leverage ratio	Interest cover ratio
Feb-24	2.25x [^]	3.00x [^]
Aug-24	2.25x [^]	3.00x [^]
Feb-25	2.25x [^]	3.00x [^]
Aug-25	2.25x [^]	3.00x [^]
Feb-26	2.50x [^]	3.00x [^]
Aug-26	2.50x	3.00x
Feb-27	2.50x	3.00x

[^] All covenant ratios were satisfied per the Group's primary lender.

	2026 R000	2025 R000
Borrowings	1 049 366	1 140 250
Lease Liabilities	272 125	297 879
Cash and cash equivalents	(378 458)	(441 436)
Net debt	943 033	996 693
Equity	1 483 133	1 292 301
EBITDA	1 160 768	1 120 261
Issued shares (excluding treasury shares)	99 268 825	100 202 284
Gearing		
Net debt to Total equity ratio	0.64	0.77
Leverage		
Net debt to EBITDA ratio	0.82	0.89
Net asset value per share		
Net asset value per share (cents)	1 494	1 290



27. Share-based payments reserve

Famous Brands manages three share schemes, which comprises the following equity-settled share-based payments arrangements:

- a) Share Option Scheme (2012 Scheme);
- b) the Famous Brands Share Incentive Scheme (2015 Scheme), which comprises the following components:
 - Share Appreciation Rights (SARs); and
 - Retention Shares
- c) The 2023 Famous Brands Share Plan (2023 Share Plan).

The 2015 Scheme enables executive directors, management and specified directors of subsidiaries to benefit from Famous Brands' share price performance. The Group's remuneration philosophy is contained in the IAR which is available on the company's website at www.famousbrands.co.za.

The total expense recognised for employee services received during the year ended 28 February 2026 is R29.8 million (2025: R48.9 million). The expense recognised relates to the share appreciation rights, retention shares and the 2023 Share Plan transactions, reduced by a credit of R19 million (2025: R1.2 million) resulting from forfeitures and remeasurement of the reserve.

27.1. SHARE OPTION SCHEME

The 2012 Scheme confers the right to participants to acquire ordinary shares at the value of Famous Brands' share at the date that the option is granted. On acceptance of the option, the participant has the right to exercise the option at any time, after vesting, during the option life, in as many tranches as the participant may elect.

To receive shares, participants must be either employed by or be retirees of the company when the rights to the shares vest. The directors of the company may amend the vesting period of the options by board resolution.

The scheme has a single type of vesting category which comprises a three-year vesting period and seven-year expiry period subsequent to vesting date. The scheme was replaced by the 2015 Scheme.

The last options were granted in November 2014 and vested in February 2018 but not exercised. These options expired in November 2024.

A reconciliation of the movement of all share options is detailed below:

	Option exercise price range (Rand)		Number of shares	
	2026	2025	2026	2025
Opening balance	–	101.20	–	195 000
Expired	–	–	–	(195 000)
Options granted, shares not issued up to the end of the year	–	–	–	–

Significant judgements and estimation uncertainty

The share options granted were valued, at grant date, using the Black-Scholes-Merton model which takes account of the vesting period (European style option). Expected volatility of the share price was determined by giving consideration to the historical volatility of Famous Brands' share price.



27. Share-based payments reserve (continued)

27.2. FAMOUS BRANDS SHARE INCENTIVE SCHEME (2015 SCHEME)

27.2.1. Share Appreciation Rights (SARs)

In 2015, Famous Brands adopted a Long Term Incentive scheme consisting of two components, SARs, which is a performance award linked to the share price and Retention Shares, which is linked to the retention of the employment of the executives. The SARs represent the right participants have to be paid the difference between the share price on grant date and the share price on the date on which the SARs vest. The Group has the option to settle in equity or cash, however historically the options have been equity-settled. The SARs have performance conditions attached to KPI's of the Group and the individual participant. The vesting is phased in three equal tranches over three years, with the first tranche vesting in year 3 dependent on the service and performance conditions being met, subject to the discretion of the Group's Remuneration Committee, within the scheme rules. Refer to Annexure 1 for further details on grants. The last allocation was awarded in June 2022. The scheme will wind down until its final vesting.

A reconciliation of the movement of all SARs granted is detailed below:

	Number of SARs	
	2026	2025
Opening balance	3 355 291	4 697 443
Forfeited	(1 439 616)	(752 747)
Settled	(605 629)	(589 405)
SARs outstanding at the end of the year	1 310 046	3 355 291

Significant judgements and estimation uncertainty

The SARs granted in the current year have been valued, at grant date, using the Black-Scholes-Merton model which takes account of the vesting period (American style option) and 10-year exercise period. Expected volatility of the share price was determined by giving consideration to the historical volatility of the Famous Brands share price.

27.2.2. Retention Shares

Retention Shares represent the right participants have to be paid the value of the company's 30 day Volume Weighted Average Price immediately preceding the vesting date. The Group has the option to settle in equity or cash, however historically the options have been equity-settled. The Retention Shares vest in three equal tranches over 3 years, with the first tranche vesting in year 3. Refer to Annexure 1 for further details on grants.

A reconciliation of the movement of all Retention Shares granted is detailed below:

	Number of retention shares	
	2026	2025
Opening balance	246 194	421 656
Forfeited	(3 030)	(5 772)
Settled	(133 728)	(169 690)
Retention Shares outstanding at the end of the year	109 436	246 194

Significant judgements and estimation uncertainty

The Retention Shares granted have been valued, at grant date, using the Black-Scholes-Merton model which takes account of the vesting period (European style option). Expected volatility of the share price was determined by giving consideration to the historical volatility of Famous Brands' share price.

Accounting policy

Goods or services received or acquired in a share-based payment transaction are recognised when the goods or services are received. A corresponding increase in equity is recognised if the goods or services are received in an equity-settled share-based payment transaction. Company has option to settle in cash or equity however historical settlements were only equity. When the share-based payments granted do not vest until the counterparty completes a specified period of service, the Company accounts for those services as they are rendered by the counterparty during the vesting period (or on a straight-line basis over the vesting period). However, when the share-based payments vest immediately and are simultaneously exercised, the expense for services received is recognised in full. On vesting, the equity-settled share-based payments related to awards that lapsed or expired, previously credited to the share-based payments reserve are transferred to retained earnings through an equity transfer.



27. Share-based payments reserve (continued)

27.3. THE 2023 FAMOUS BRANDS SHARE PLAN (2023 SHARE PLAN)

In 2023, the Company with the approval of shareholders, adopted the 2023 Share Plan. The new share-based scheme is mutually exclusive and replaces the existing Long-term Incentive Plan ("Existing Scheme"). The current 2015 Scheme will remain in place and run its course in respect of rights which have been granted prior to the implementation of the 2023 Share Plan. The 2023 Share Plan aligns with global best practice, which promotes the required attributes of shareholder alignment, retention of key talent and long-term, sustained performance, all in what may become an increasingly more volatile and challenging market. The 2023 Share Plan will form an integral part of Famous Brand's reward and talent strategy in the future.

The 2023 Share Plan provides for several performance conditions designed to align the interests of participants with those of the Famous Brand's shareholders.

Eligible participants in the Plan are offered:

- Awards of Performance Shares; and
- Grants of Restricted Shares.

27.3.1. Restricted Shares

Certain of the Participants in the 2023 Share Plan receive a discretionary grant of Restricted Shares, expressed as a percentage of their guaranteed pay. A 30-trading day volume-weighted average price (VWAP) before the grant date is used as the grant price, rounded to the nearest whole share.

Restricted Shares are granted to participants from middle management to general management. Members of the Executive Committee are not entitled to Restricted Shares.

The value that vests will be the full value of the share after a minimum of three years and will provide shareholder alignment and share-based retention to key talent who, through various criteria, have demonstrated their value to the company. This is an equity-settled share-based payment arrangement.

A reconciliation of the movement of all Restricted Shares granted is detailed below:

	Number of restricted shares	
	2026	2025
Opening balance	371 682	163 005
Granted	–	222 135
Forfeited	(22 913)	(13 458)
Restricted Shares granted at the end of the year	348 769	371 682

Significant judgements and estimation uncertainty

The Restricted Shares granted have been valued, at grant date, using the Black-Scholes-Merton model which takes account of the vesting period (European style option). Expected volatility of the share price was determined by giving consideration to the historical volatility of Famous Brands' share price.

Details of the fair value of the Restricted Shares granted during the year and the related assumptions utilised are set out below:

	2026*	2025
Number of Restricted Shares granted	–	222 135
The principal inputs are as follows:		
Fair value at grant date (Rand)	–	49.87
Closing share price at grant date (Rand)	–	49.87
Expected life (years)	–	3.00
Expected volatility (%)	–	33.50
Risk-free interest rates (%)	–	8.24
Average expected dividend yield (%)	–	–

* Participants were not granted restricted shares in the current year.



27. Share-based payments reserve (continued)

27.3.2. Performance Shares

A reconciliation of the movement of all Performance Shares granted is detailed below:

	Number of performance shares	
	2026	2025
Opening balance	1 703 988	701 895
Granted	766 225	1 030 348
Management	622 145	796 317
Executive directors	144 080	234 031
Forfeited	(43 321)	(28 255)
Performance Shares outstanding at the end of the year	2 426 892	1 703 988

Details of the weighted average fair value of the Performance Shares granted during the year and the related assumptions utilised are set out below:

	2026	2025
Number of Performance Shares granted	766 225	1 030 348
The principal inputs are as follows:		
Fair value at grant date (Rand)	50.20	47.82
Closing share price at grant date (Rand)	63.99	49.87
Expected life (years)	3.00	3.00
Expected volatility (%)	27.87	33.50
Risk-free interest rates (%)	7.01	8.24
Average expected dividend yield (%)	8.39	–

28. Other matters

28.1. SHARE REPURCHASE PROGRAMME

The Board approved a general share repurchase of the Company's ordinary shares up to a maximum of 5% of the Company's issued share capital, through FB Investments Proprietary Limited, a wholly owned subsidiary of the Company (the "Share Repurchase")

The Share Repurchase commenced on 1 February 2026 and will extend until 31 May 2026, subject to market conditions, in which event the programme may be discontinued by the Board. The shares repurchased as part of the Share Repurchase will be held as treasury shares and will not have any voting rights.

28.2. REFINANCING OF DEBT FACILITIES

Management concluded a refinancing process with Nedbank Limited, hereinafter referred to as the "Lender") for new debt funding in an aggregate amount of R1.675 billion ("New Funding").

The New Funding will be used to, *inter alia*, refinance the existing facilities. These facilities include legacy debt, as well as additional funding raised to fund the acquisition and development of its Midrand Campus.

In 2023, further funding was provided to the Company for the construction of a cold storage facility ("Existing Facilities"). The Existing Facilities were secured by two separate mortgage bonds.

The New Facilities are unsecured and have been concluded on terms more favorable than the Existing Facilities. Upon the implementation of the New Facilities, the existing mortgage bonds will be cancelled.

29. Events after reporting date

29.1. DIVIDEND DECLARED

The Board declared a final dividend of 220.45 cents per share to the amount of R220.4 million, reflecting the Group's stable financial position and cash flows. In light of the challenging economic environment in which our business currently operates, we acknowledge its impact on earnings growth. Nevertheless, we maintain an optimistic outlook for the future. The final dividend will be paid out of the current year profit for the total of R382.8 million. In August 2025, we declared an interim dividend of 162 cents per share.

29.2. SHARE REPURCHASE PROGRAMME

Subsequent to year-end, we spent R46 million to repurchase the company's issued share capital in line with the Board general approval.



30. Going concern

The Board has undertaken a rigorous assessment of the Group's ability to continue as a going concern in light of current and anticipated economic conditions across its operating geographies taking into consideration available information about economic uncertainties and market volatility. The projections for the Group have been prepared considering prospective performance, and available capital and liquidity for a period of 12 months from the date of approval of these consolidated financial statements including performing sensitivity analysis. The assumptions modelled are based on the continued estimated impact of the current difficult operating environment influenced by global geopolitical uncertainty, ongoing water shortages, supply chain disruptions, elevated food and fuel prices and potential interest rate hikes.

Despite the challenging environment, resilience of the consumer to a certain extent is apparent in the Group's stable performance across profitability, cash generation, gearing matrices and improved solvency. For the Group we are forecasting growth in revenue, profit and cash flow, which is still under pressure due to uncertainty in the growth of the economy.

Our support protected our franchise partners and our own supply chain operations, resulting in improved performance for the 2026 financial year, including access to more appropriate debt finance structure in line with the Group's current funding requirements and strategy.

At 28 February 2026 the Group had access to unutilised facilities of R352 million (refer Note 10 Borrowings). Our forecasts and projections, taking into account anticipated market volatility, show that the Group will be profitable and cash generative in the year ahead. The Board has reviewed the Group's projections and sensitivity analysis which shows that the Group has sufficient capital, liquidity and positive future performance outlook to continue to meet its obligations and consequently, it is appropriate to prepare the consolidated financial statements on a going concern basis for the foreseeable future.



Annexure 1: Share-based payments reserve

for the year ended 28 February 2026

1. Share Appreciation Rights (SARs)

The number of SARs outstanding as at 28 February 2026 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)^	Opening balance	Forfeited	Settled	Closing balance
June 2016			147 243	(147 243)	–	–
Tranche 1	February 2019 – 2020	31.67	57 781	(57 781)	–	–
Tranche 2	February 2020 – 2021	36.41	57 781	(57 781)	–	–
Tranche 3	February 2021 – 2022	42.12	31 681	(31 681)	–	–
June 2018			183 014	(183 014)	–	–
Tranche 1	February 2021 – 2022	84.58	163 262	(163 262)	–	–
Tranche 2	February 2022 – 2023	87.27	10 259	(10 259)	–	–
Tranche 3	February 2023 – 2024	89.74	9 493	(9 493)	–	–
June 2019			103 336	(103 336)	–	–
Tranche 1	February 2022 – 2023	47.12	51 668	(51 668)	–	–
Tranche 2	February 2023 – 2024	48.46	51 668	(51 668)	–	–
Tranche 3	February 2024 – 2025	49.35	–	–	–	–
June 2020			663 408	(57 779)	(605 629)	–
Tranche 3	February 2025 – 2026	27.98	663 408	(57 779)	(605 629)	–
June 2021			942 679	(478 490)	–	464 189
Tranche 1	February 2024 – 2025	13.19	6 558	(6 558)	–	–
Tranche 2	February 2025 – 2026	19.76	468 038	(460 908)	–	7 130
Tranche 3	February 2026 – 2027	22.76	468 083	(11 024)	–	457 059
June 2022			1 315 611	(469 754)	–	845 857
Tranche 1	February 2025 – 2026	23.86	438 522	(438 522)	–	–
Tranche 2	February 2026 – 2027	24.21	438 536	(15 615)	–	422 921
Tranche 3	February 2027 – 2028	24.26	438 553	(15 617)	–	422 936
Number of SARs			3 355 291	(1 439 616)	(605 629)	1 310 046



Share-based payments reserve (continued)

1. Share Appreciation Rights (SARs) (continued)

The number of SARs outstanding as at 28 February 2025 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)^	Opening balance	Forfeited	Settled	Closing balance
June 2016			147 716	(474)	–	147 243
Tranche 1	February 2019 – 2020	31.67	57 939	(158)	–	57 781
Tranche 2	February 2020 – 2021	36.41	57 939	(158)	–	57 781
Tranche 3	February 2021 – 2022	42.12	31 839	(158)	–	31 681
June 2018			236 077	(53 063)	–	183 014
Tranche 1	February 2021 – 2022	84.58	207 441	(44 179)	–	163 262
Tranche 2	February 2022 – 2023	87.27	14 701	(4 442)	–	10 259
Tranche 3	February 2023 – 2024	89.74	13 935	(4 442)	–	9 493
June 2019			155 026	(51 690)	–	103 336
Tranche 1	February 2022 – 2023	47.12	51 668	–	–	51 668
Tranche 2	February 2023 – 2024	48.46	51 668	–	–	51 668
Tranche 3	February 2024 – 2025	49.35	51 690	(51 690)	–	–
June 2020			1 335 952	(89 821)	(582 722)	663 408
Tranche 2	February 2024 – 2025	27.21	667 956	(85 233)	(582 722)	–
Tranche 3	February 2025 – 2026	27.98	667 996	(4 588)	–	663 408
June 2021			1 474 033	(524 671)	(6 683)	942 679
Tranche 1	February 2024 – 2025	13.19	491 328	(478 087)	(6 683)	6 558
Tranche 2	February 2025 – 2026	19.76	491 328	(23 290)	–	468 038
Tranche 3	February 2026 – 2027	22.76	491 377	(23 294)	–	468 083
June 2022			1 348 639	(33 028)	–	1 315 611
Tranche 1	February 2025 – 2026	13.19	449 530	(11 008)	–	438 522
Tranche 2	February 2026 – 2027	19.76	449 546	(11 010)	–	438 536
Tranche 3	February 2026 – 2027	22.76	449 563	(11 010)	–	438 553
Number of SARs			4 697 443	(752 747)	(589 405)	3 355 291



Share-based payments reserve (continued)

1. Share Appreciation Rights (SARs) (continued)

The number of SARs outstanding as at 28 February 2026 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)^	Opening balance	Forfeited	Settled	Closing balance
Executive director						
Mr DP Hele			11 571	(11 571)	–	–
Tranche 1	February 2019 – 2020	31.67	3 857	(3 857)	–	–
Tranche 2	February 2020 – 2021	36.41	3 857	(3 857)	–	–
Tranche 3	February 2021 – 2022	42.12	3 857	(3 857)	–	–
June 2019			3 284	(3 284)	–	–
Tranche 1	February 2022 – 2023	47.12	1 642	(1 642)	–	–
Tranche 2	February 2023 – 2024	48.46	1 642	(1 642)	–	–
Tranche 3	February 2024 – 2025	49.35	–	–	–	–
June 2020			111 034	–	(111 034)	–
Tranche 3	February 2025 – 2026	27.98	111 034	–	(111 034)	–
June 2021			137 020	(68 510)	–	68 510
Tranche 2	February 2025 – 2026	19.76	68 510	(68 510)	–	–
Tranche 3	February 2026 – 2027	22.76	68 510	–	–	68 510
Number of SARs			262 909	(83 365)	(111 034)	68 510



Share-based payments reserve (continued)

1. Share Appreciation Rights (SARs) (continued)

The number of SARs outstanding as at 28 February 2025 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)^	Opening balance	Forfeited	Settled	Closing balance
Executive director						
Mr DP Hele						
June 2016						
			11 571	–	–	11 571
Tranche 1	February 2019 – 2020	31.67	3 857	–	–	3 857
Tranche 2	February 2020 – 2021	36.41	3 857	–	–	3 857
Tranche 3	February 2021 – 2022	42.12	3 857	–	–	3 857
June 2019						
			4 927	(1 643)	–	3 284
Tranche 1	February 2022 – 2023	47.12	1 642	–	–	1 642
Tranche 2	February 2023 – 2024	48.46	1 642	–	–	1 642
Tranche 3	February 2024 – 2025	49.35	1 643	(1 643)	–	–
June 2020						
			222 069	–	(111 035)	111 034
Tranche 1	February 2023 – 2024	26.15	–	–	–	–
Tranche 2	February 2024 – 2025	27.21	111 035	–	(111 035)	–
Tranche 3	February 2025 – 2026	27.98	111 034	–	–	111 034
June 2021						
			205 530	(68 510)	–	137 020
Tranche 1	February 2024 – 2025	13.19	68 510	(68 510)	–	–
Tranche 2	February 2025 – 2026	19.76	68 510	–	–	68 510
Tranche 3	February 2026 – 2027	22.76	68 510	–	–	68 510
Number of SARs			444 097	(70 153)	(111 035)	262 909



Share-based payments reserve (continued)

2. Retention Shares

Details of the Retention Shares granted as at 28 February 2026 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Forfeited	Settled	Closing balance
June 2020			55 632	–	(55 632)	–
Tranche 3	February 2025 – 2026	34.00	55 632	–	(55 632)	–
June 2021			79 996	–	(41 648)	38 348
Tranche 2	February 2025 – 2026	61.99	40 060	–	(40 060)	–
Tranche 3	February 2026 – 2027	61.99	39 936	–	(1 588)	38 348
June 2022			110 566	(3 030)	(36 448)	71 088
Tranche 1	February 2025 – 2026	62.23	36 842	(394)	(36 448)	–
Tranche 2	February 2026 – 2027	62.23	36 858	(1 318)	–	35 540
Tranche 3	February 2027 – 2028	62.23	36 866	(1 318)	–	35 548
Number of Retention Shares			246 194	(3 030)	(133 728)	109 436



Share-based payments reserve (continued)

2. Retention Shares (continued)

Details of the Retention Shares granted as at 28 February 2025 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Forfeited	Settled	Closing balance
June 2019			72 595	(40)	(72 555)	–
Tranche 3	February 2024 – 2025	81.30	72 595	(40)	(72 555)	–
June 2020			112 004	(427)	(55 945)	55 632
Tranche 2	February 2024 – 2025	34.00	55 984	(39)	(55 945)	–
Tranche 3	February 2025 – 2026	34.00	56 020	(388)	–	55 632
June 2021			123 707	(2 521)	(41 190)	79 996
Tranche 1	February 2024 – 2025	61.99	41 222	(32)	(41 190)	–
Tranche 2	February 2025 – 2026	61.99	41 222	(1 162)	–	40 060
Tranche 3	February 2026 – 2027	61.99	41 263	(1 327)	–	39 936
June 2022			113 350	(2 784)	–	110 566
Tranche 1	February 2025 – 2026	62.33	37 769	(927)	–	36 842
Tranche 2	February 2026 – 2027	62.33	37 786	(928)	–	36 858
Tranche 3	February 2027 – 2028	62.33	37 795	(929)	–	36 866
Number of Retention Shares			421 656	(5 772)	(169 690)	246 194



Share-based payments reserve (continued)

2. Retention Shares (continued)

Details of the Retention Shares granted to executive directors as at 28 February 2026 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Settled	Closing balance
Executive director					
Mr DP Hele					
June 2020			9 168	(9 168)	–
Tranche 3	February 2025 – 2026	34.00	9 168	(9 168)	–
June 2021			11 314	(5 657)	5 657
Tranche 2	February 2025 – 2026	61.99	5 657	(5 657)	–
Tranche 3	February 2026 – 2027	61.99	5 657	–	5 657
Number of Retention Shares			20 482	(14 825)	5 657

Details of the Retention Shares granted to executive directors as at 28 February 2025 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Settled	Closing balance
June 2019			12 786	(12 786)	–
Tranche 3	February 2024 – 2025	81.30	12 786	(12 786)	–
June 2020			18 336	(9 168)	9 168
Tranche 2	February 2024 – 2025	34.00	9 168	(9 168)	–
Tranche 3	February 2025 – 2026	34.00	9 168	–	9 168
June 2021			16 971	(5 657)	11 314
Tranche 1	February 2024 – 2025	61.99	5 657	(5 657)	–
Tranche 2	February 2025 – 2026	61.99	5 657	–	5 657
Tranche 3	February 2026 – 2027	61.99	5 657	–	5 657
Number of Retention Shares			48 093	(27 611)	20 482



Share-based payments reserve (continued)

3. Performance Shares

Details of the Performance Shares allocated as at 28 February 2026 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Granted	Forfeited	Closing balance
June 2023	February 2026 – 2027	61.25	689 229	–	(14 719)	674 510
June 2024	February 2027 – 2028	47.82	1 014 759	–	(19 810)	994 949
June 2025	February 2028 – 2029	50.20	–	766 225	(8 792)	757 433
Number of Performance Shares			1 703 988	766 225	(43 321)	2 426 892

Details of the Performance Shares allocated as at 28 February 2025 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Granted	Forfeited	Closing balance
June 2023	February 2026 – 2027	61.25	701 895	–	(12 666)	689 229
June 2024	February 2027 – 2028	47.82	–	1 030 348	(15 589)	1 014 759
Number of Performance Shares			701 895	1 030 348	(28 255)	1 703 988



Share-based payments reserve (continued)

3. Performance Shares (continued)

Details of the Performance Shares allocated as at 28 February 2026 are set out below

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Granted	Closing balance
Executive directors					
Mr DP Hele					
June 2023	February 2026 – 2027	55.14	112 668	–	112 668
June 2024	February 2027 – 2028	47.82	151 634	–	151 634
June 2025	February 2028 – 2029	50.20	–	95 205	95 205
Mrs N Shiluvana					
June 2024	February 2027 – 2028	47.82	82 397	–	82 397
June 2025	February 2028 – 2029	50.20	–	48 875	48 875
Number of Performance Shares			346 699	144 080	490 779

Details of the Restricted Shares allocated as at 28 February 2025 are set out below

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Granted	Closing balance
Executive directors					
Mr DP Hele					
June 2023	February 2026 – 2027	55.14	112 668	–	112 668
June 2024	February 2027 – 2028	47.82	–	151 634	151 634
Mrs N Shiluvana					
June 2024	February 2027 – 2028	47.82	–	82 397	82 397
Number of Performance Shares			112 668	234 031	346 699



Share-based payments reserve (continued)

4. Restricted Shares

Details of the Restricted Shares allocated to executive directors as at 28 February 2026 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Granted	Forfeited	Closing balance
June 2023	February 2026 – 2027	61.25	157 252	–	(9 767)	147 485
June 2024	February 2027 – 2028	49.87	214 430	–	(13 146)	201 284
Number of Restricted Shares			371 682	–	(22 913)	348 769

Details of the Restricted Shares allocated to executive directors as at 28 February 2025 are set out below:

Grant date	Financial year of vesting	Fair value at grant date (Rand)	Opening balance	Granted	Forfeited	Closing balance
June 2023	February 2026 – 2027	61.25	163 005	–	(5 753)	157 252
June 2024	February 2027 – 2028	49.87	–	222 135	(7 705)	214 430
Number of Restricted Shares			163 005	222 135	(13 458)	371 682



Annexure 2: Exchange rates

for the year ended 28 February 2026

The following significant exchange rates were applied in the preparation of the Group's results:

	2026		2025	
	Average	Closing	Average	Closing
GB Pound to Rand	23.37	21.49	23.28	23.35
Euro to Rand	20.15	18.83	19.63	19.27
US Dollar to Rand	17.49	15.93	18.28	18.55
Zambian Kwacha to Rand	0.74	0.84	0.69	0.65
Nigerian Naira to Rand	0.01	0.01	0.01	0.01
Botswana Pula to Rand	1.30	1.21	1.34	1.34
Mauritian Rupee to Rand	0.38	0.34	0.39	0.40
United Arab Emirates Dirham to Rand	4.77	4.34	4.98	5.05



Company accounting policies

for the year ended 28 February 2026

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and its interpretations as issued by the International Accounting Standards Board (IFRS Accounting Standards) in issue and effective for the company at 28 February 2026, the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council, JSE Listings Requirements and the requirements of the Companies Act of South Africa. The accounting policies of the company are the same as the Group, where applicable. The policies detailed below are specifically applicable to the company. The financial statements of the company were approved by the Board on 18 May 2026.

Material accounting policies

1. BASIS OF PREPARATION

Functional and presentation currency

The financial statements are presented in South African Rand (Rand), which is the company's functional and presentation currency. All financial information presented in Rand has been rounded to the nearest thousand (R000) except for when otherwise indicated.

Basis of measurement

The financial statements have been prepared on the historical cost basis, except for the measurement of certain financial instruments at fair value and incorporate the principal accounting policies set out below.

2. SIGNIFICANT JUDGEMENTS AND SOURCES OF ESTIMATION UNCERTAINTY

In preparing the financial statements, management is required to make estimates and assumptions that affect the amounts represented in the financial statements and related disclosures. Use of available information and the application of judgement are inherent in the formation of estimates. Actual results in the future could differ from these estimates which may be material to the financial statements.

3. INVESTMENT IN SUBSIDIARIES

In the company's financial statements, investments in subsidiaries are carried at cost less any accumulated impairment losses.

The cost of an investment in a subsidiary is the aggregate of:

- the fair value, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the company; plus
- any costs directly attributable to the purchase of the subsidiary.

4. FINANCIAL INSTRUMENTS

Receivables from/payables to Group companies

These include amounts receivable from and payable to subsidiaries and are recognised initially at fair value. Amounts receivable from Group companies are classified as financial assets at amortised cost. Amounts payable to Group companies are classified as financial liabilities measured at amortised cost.

5. REVENUE

Dividends are recognised in profit or loss, when the company's right to receive payment has been established, it is probable that the economic benefits associated with the dividend will flow to the company, and the amount of the dividend can be measured reliably.

6. GOING CONCERN

The company reported a net profit for the year ended 28 February 2026 of R752.7 million (2025: R348.6 million) and as of that date its total assets exceeded its liabilities by R570.4 million (2025: R212.7 million).

The entity is in a net current asset position of R4.5 million (2025: R28.5 million).

The directors of Famous Brands Management Company (Pty) Ltd have made a commitment, via a signed board resolution, to not call on the liability from the company for at least 15 months from date of approving the financial statements.

The directors, based on the information available, have assessed and are satisfied that the company is a going concern for the foreseeable future, at least for the next 12 months from the date of approval of the financial statements.

Refer to the consolidated financial statements Note 30 Going concern and the assumptions applied.



Company statement of financial position

at 28 February 2026

	Notes	2026 R000	2025 R000
ASSETS			
Non-current assets			
Investments in subsidiaries	1	567 581	604 915
Current assets			
Receivables from Group companies	1	4 769	4 769
Other receivables	2	3 882	26 909
Cash and cash equivalents	3	11	457
Total assets		576 243	637 050
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	4	1 002	1 002
Share premium	4	164 811	164 811
Non-distributable reserve		197 920	235 259
Retained earnings/(accumulated losses)		206 660	(188 327)
Total equity		570 393	212 745
Non-current liabilities			
Payables to Group companies	1	1 712	420 662
Current liabilities			
Other payables	5	222	17
Shareholders for dividends		3 916	3 626
Total liabilities		5 850	424 305
Total equity and liabilities		576 243	637 050



Company statement of profit or loss and other comprehensive income

for the year ended 28 February 2026

	Notes	2026 R000	2025 R000
Revenue	6	747 902	331 333
Other income*		15 307	24 751
Operating expenses		(7 996)	(7 570)
Operating profit		755 213	348 514
Net finance (costs)/income		(2 406)	36
Finance costs		(2 420)	–
Finance income		14	36
Profit before tax	7	752 807	348 550
Tax	8	(98)	–
Profit for the year		752 709	348 550
Total comprehensive income for the year		752 709	348 550

* Other income relates to the GBK liquidation dividend of R15.3 million (2025: R24.8 million).



Company statement of changes in equity

for the year ended 28 February 2026

	Share capital R000	Share premium R000	Non-distributable reserves R000	Retained earnings/ (accumulated losses) R000	Total equity R000
Balance at 1 March 2024	1 002	164 811	269 113	(222 188)	212 738
Equity settled share-based payment scheme	–	–	(33 854)	–	(33 854)
Total comprehensive income for the year	–	–	–	348 550	348 550
Dividends declared	–	–	–	(314 689)	(314 689)
Balance at 1 March 2025	1 002	164 811	235 259	(188 327)	212 745
Equity settled share-based payment scheme	–	–	(37 339)	–	(37 339)
Total comprehensive income for the year	–	–	–	752 709	752 709
Dividends declared	–	–	–	(357 722)	(357 722)
Balance at 28 February 2026	1 002	164 811	197 920	206 660	570 393
<i>Dividend per share is 357 cents (2025: 314 cents).</i>	Note 4	Note 4			



Company statement of cash flows

for the year ended 28 February 2026

	Notes	2026 R000	2025 R000
Cash generated from/(utilised in) operations	9.1	30 440	(8 950)
Dividends received		747 902	314 635
Finance income received		14	36
Finance costs paid		(2 420)	–
Dividends paid to owners of Famous Brands Limited	9.2	(357 432)	(314 308)
Net cash inflow/(outflow) from operating activities		418 504	(8 587)
Cash flow from investing activities			
Decrease in receivables from Group companies		–	32 929
Cash inflow from investing activities		–	32 929
Cash flow from financing activities			
Decrease in payables to Group companies	9.3	(418 950)	(23 952)
Cash outflow from financing activities		(418 950)	(23 952)
Net (decrease)/increase in cash and cash equivalents		(446)	390
Cash and cash equivalents at the beginning of the year		457	67
Cash and cash equivalents at the end of the year	3	11	457



Notes to the company financial statements

for the year ended 28 February 2026

1. Investments, receivables and payables with Group companies

	2026 R000	2025 R000
Investments in subsidiaries*	567 581	604 915
Net amount receivable from/(payable to) subsidiaries	3 057	(415 893)
Receivables from Group companies	4 769	4 769
Payables to Group companies	(1 712)	(420 662)
	570 638	189 022

* Unlisted shares at cost less impairment. Refer to the consolidated financial statements Note 24 Schedule of investments in subsidiaries and associates.

RECEIVABLES FROM GROUP COMPANIES – STEERS PROPERTIES (PTY)

The company purchased the rights to the collection of the loan to shareholders in Steers Properties (Pty) Ltd in the 2023 financial year. The R4.8 million loan is interest-free and has no fixed terms of repayment.

PAYABLES TO GROUP COMPANIES – FAMOUS BRANDS MANAGEMENT COMPANY (PTY) LTD (MANCO)

The amounts owing to Group companies are interest-free and have no fixed terms of repayment. They are disclosed on the statement of financial position as required by IFRS® Accounting Standards. However, repayment is not expected in the foreseeable future, hence liquidity risk is considered low. Manco will not require repayment of the loan for at least the next 15 months and will also continue to provide financial support to Famous Brands Limited against all claims for at least the next 15 months.

INVESTMENT IN SUBSIDIARIES

A schedule of subsidiaries of the company is set out in Note 24 Schedule of investments in subsidiaries and associates of the consolidated financial statements.

Reconciliation of the movement in unlisted shares at cost less amounts written off	2026 R000	2025 R000
Balance at the beginning of the year	604 915	638 769
Change in Investment in Subsidiary – IFRS 2 Share-based payment	(37 339)	(33 854)
Investment in subsidiaries	5	–
Carrying amount of investments in subsidiaries	567 581	604 915

2. Other receivables

	2026 R000	2025 R000
Financial instruments	–	24 751
Other receivables*	–	24 751
Non-financial instruments	3 882	2 158
VAT receivable	3 734	389
Prepayments	148	1 769
	3 882	26 909

* Prior year other receivables relates to the GBK liquidation dividends of R24.8 million.

FAIR VALUE OF OTHER RECEIVABLES

There is no material difference between the fair value of other receivables and their book value due to the short-term nature of these items.

The maximum exposure to credit risk at the reporting date is the fair value of other receivables above.

The company does not hold any collateral as security.



3. Cash and cash equivalents

	2026 R000	2025 R000
Cash and cash equivalents included in the statement of cash flows comprise the following:		
Cash and cash equivalents	11	457
Cash on hand and bank balances	11	457

The fair value approximates the book value of cash and cash equivalents.

4. Share capital and share premium

	2026 R000	2025 R000
Share capital	1 002	1 002
Share premium	164 811	164 811
	165 813	165 813
Share capital		
Authorised		
200 000 000 (2025: 200 000 000) ordinary par value shares of one cent each	2 000	2 000
Unissued		
99 797 716 (2025: 99 797 716) ordinary par value shares of one cent each	998	998
Issued		
100 202 284 (2025: 100 202 284) ordinary par value shares of one cent each	1 002	1 002
Share premium		
Balance at the end of the year	164 811	164 811

Reconciliation of movements in the number of ordinary shares

	2026 Number of shares	2025 Number of shares
Authorised	200 000 000	200 000 000
Issued		
Shares in issue at the beginning of the year	100 202 284	100 202 284
Shares in issue for the year	100 202 284	100 202 284

5. Other payables

	2026 R000	2025 R000
Financial instruments		
Accruals	222	17
	222	17

Accruals represent miscellaneous contractual liabilities that relate to expenses that were incurred, but not paid for at year-end. The book value of trade and other payables approximates fair values.

6. Revenue

	2026 R000	2025 R000
Dividends received from subsidiaries	747 902	331 333

Dividends of R633 million (2025: R314.6 million) and R19 million (2025: R16.7 million) were received from Famous Brands Management Company (Pty) Ltd and Steers (Pty) Ltd, respectively.

Additionally, the company received R10 million (2025: R0) and R86 million (2025: R0) from Steers Properties (Pty) Ltd and other IP companies, respectively.



7. Profit before tax

	2026 R000	2025 R000
Profit before tax is calculated after taking into account, among other items, those detailed below: Directors' remuneration (Refer to Note 22 of the consolidated financial statements)	6 782	6 834
Non-executive directors	6 782	6 834
Executive directors	20 923	19 624
Less: amounts paid by subsidiaries	(20 923)	(19 624)
Auditor's remuneration – financial statement audit	693	452
Net finance costs	2 406	(36)
Finance costs	2 420	–
Finance income	(14)	(36)

8. Tax

	2026 R000	2025 R000
Normal tax		
Current tax	98	–
Prior year overprovision	98	–

	2026 %	2025 %
Reconciliation of rate of tax		
South African normal rate of tax	27.0	27.0
Reduction in rate for year due to:	–	–
Exempt dividend income	(27.0)	(27.6)
Increase in rate for year due to:	–	–
Disallowable expenditure*	–	0.6
Effective rate of tax	–	–

* A deferred tax asset on the assessed loss has only been recognised to the extent of available taxable temporary differences.

Tax losses of R34.4 million (2025: R36 million) have not been recognised.

9. Cash flow information

9.1. RECONCILIATION OF PROFIT BEFORE TAX TO CASH GENERATED FROM/ (UTILISED IN) OPERATIONS

	2026 R000	2025 R000
Profit before tax	752 807	348 550
Adjusted for:		
Dividends received	(747 902)	(331 333)
Finance costs	2 420	–
Finance income	(14)	(36)
Other non-cash items	(102)	–
Cash generated before changes in working capital	7 209	17 181
Working capital changes	23 231	(26 131)
Decrease/(Increase) in other receivables	23 026	(25 344)
Increase/(Decrease) in other payables	205	(787)
Cash generated from/(utilised in) operations	30 440	(8 950)

9.2. RECONCILIATION OF DIVIDENDS PAID DURING THE YEAR

	2026 R000	2025 R000
Amounts owing at the beginning of the year	(3 626)	(3 245)
Amounts charged to retained earnings	(357 722)	(314 689)
Amounts owing at the end of the year	3 916	3 626
Dividends paid*	(357 432)	(314 308)

* Includes movement in unclaimed dividends.

9.3. RECONCILIATION OF FINANCING ACTIVITIES

	2026 R000	2025 R000
Amount owing to subsidiaries		
Carrying value at beginning of the year	437 360	461 312
Loan repaid	(418 950)	(23 952)
Carrying value at end of the year	18 410	437 360



10. Risk management

The company has exposure to the following risks from its use of financial instruments: market risk (foreign exchange, interest rate), liquidity risk, credit risk and capital risk. This note presents information about the company's exposure to each of the above risks, the company's objectives, policies and processes for measuring and managing financial risk, and the company's management of capital

The major guidelines of this policy are the following:

- to minimise interest rate, currency and market risk for all transactions;
- to ensure that all financial risk management activities are carried out and monitored at a central level; and
- to ensure that all financial risk management activities are carried out on a prudent and consistent basis.

The company audit committee oversees how management monitors compliance with the risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the company. The audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of the risk management controls and procedures. The results are reported to the audit committee and management for remediation.

	2026 Carrying amount R000	2025 Carrying amount R000
Financial assets		
Measured at amortised cost:		
Cash and cash equivalents	11	457
Receivables from Group companies	4 769	4 769
Other receivables	–	24 751
	4 780	29 977
Financial liabilities		
Measured at amortised cost:		
Other payables	222	17
Shareholders for dividends	3 916	3 626
Payables to Group companies	1 712	420 662
	5 850	424 305

10.1. LIQUIDITY RISK

The company manages liquidity risk on the basis of expected maturity dates, through an ongoing review of future commitments and credit facilities. Cash flow forecasts are prepared, adequate borrowing facilities are secured and utilisation monitored.

The following table analyses financial liabilities by remaining contractual maturity (contractual and undiscounted cash flows)

	2026		
	Less than 1 year R000	1–5 years R000	Total R000
Other payables	222	–	222
Shareholders for dividends	3 916	–	3 916
Payables to Group companies	–	1 712	1 712
	4 138	1 712	5 850

	2025		
	Less than 1 year R000	1–5 years R000	Total R000
Other payables	17	–	17
Payables to Group companies	–	420 662	420 662
Shareholders for dividends	3 626	–	3 626
	3 643	420 662	424 305



10. Risk management (continued)

10.2. CREDIT RISK

At present the company expects to pay all liabilities at their contractual maturity. In order to meet such cash commitments the company expects operating activities to generate sufficient cash inflows.

Credit risk is managed on a Group-wide basis. Credit risk consists mainly of cash deposits, cash equivalents and other debtors. The company only deposits cash with major banks with high-quality credit standing and limits exposure to any one counterparty.

The company's credit risk mainly lies with loans with Group companies. The three-stage model (general approach) is applied in determining expected credit losses for receivables from Group companies (i.e. intercompany receivables). At each reporting date, the company assesses whether the credit risk on the financial instruments has increased significantly since initial recognition. The following indicators are incorporated: significant increases in credit risk on other financial instruments of the same borrower, actual or expected significant adverse changes in business, financial and economic conditions that are expected to cause a significant change to the borrower's ability to meet its obligations. The expected credit loss in relation to receivables from Group companies has been assessed as negligible.

The loans are provided to subsidiaries on an ongoing basis except where it is considered an equity loan and is included as part of the net investment in the borrower.

The loans, which are not equity loans, are generally repayable on demand and interest free. Credit risk is mainly dependent on the subsidiaries performance.

	2026 R000	2025 R000
Receivables from Group companies	4 769	4 769
Cash and cash equivalents	11	457
Other receivables	–	24 751
	4 780	29 977

11. Schedule of investments in subsidiaries

Please refer to Note 24 Schedule of investment in subsidiaries and associates of the consolidated financial statements.

12. Related party transactions

Related parties to the company include the companies' direct and indirect subsidiaries, joint ventures, associates and key management which is defined as appointed directors of the company as well as directors of related entities of the company. The company, in the ordinary course of business, enters into transactions with related parties which may include the rendering of services, funding arrangements or transfer of resources to related parties.

12.1. TRANSACTIONS BETWEEN THE HOLDING COMPANY AND SUBSIDIARIES

	2026 R000	2025 R000
Dividends received	747 902	331 333

12.2. REMUNERATION

The remuneration for the directors of the holding company paid during the year by subsidiaries with the Group has been disclosed in Note 22 Directors' Remuneration. Executive directors are key management.

12.3. RECEIVABLES FROM/PAYABLE TO GROUP COMPANIES

The intercompany loan balances, including the terms and conditions, have been disclosed in Note 24 of the consolidated financial statements and Note 1 of the company financial statements.

13. Other matters

Share repurchase programme

The Board approved a general share repurchase of the company's ordinary shares up to a maximum of 5% of the Company's issued share capital, through FB Investments Proprietary Limited, a wholly owned subsidiary of the company (the "Share Repurchase")

The Share Repurchase commenced on 1 February 2026 and will extend until 31 May 2026, subject to market conditions, in which event the programme may be discontinued by the Board. The shares repurchased as part of the Share Repurchase will be held as treasury shares and will not have any voting rights.

14. Events after reporting date

14.1. DIVIDEND DECLARED

The Board declared a final dividend of 220 cents per share to the amount of R220.4 million, reflecting the Group's stable financial position and cash flows. In light of the challenging economic environment in which our business currently operates, we acknowledge its impact on earnings growth. Nevertheless, we maintain an optimistic outlook for the future. The final dividend will be paid out of the current year profit for the total of R382.8 million. In August 2025, we declared an interim dividend of 162 cents per share.

14.2. SHARE REPURCHASE PROGRAMME

Subsequent to year-end, we spent R46 million to repurchase the company's issued share capital in line with the Board general approval.



Shareholder spread

at 28 February 2026

	2026			
	Number of shareholders	% of total shareholdings	Number of shares	% of issued capital
1 – 10 000	6 489	94.52	3 764 923	3.76
10 001 – 50 000	179	2.61	4 279 525	4.27
50 001 – 100 000	58	0.84	4 110 846	4.10
100 001 – 1 000 000	118	1.72	42 472 253	42.39
Over 1 000 000	21	0.31	45 574 737	45.48
Total	6 865	100.00	100 202 284	100.00
Distribution of shareholders				
Individuals	5 974	87.02	7 572 836	7.56
Insurance companies	2	0.03	22 486	0.02
Investment trusts	218	3.18	6 644 714	6.63
Other companies and corporate bodies	671	9.77	85 962 248	85.79
Total	6 865	100.00	100 202 284	100.00
Shareholder type				
Non-public shareholders	6	0.08	6 509 132	6.50
Directors and associates (Direct)	5	0.07	780 177	0.78
Directors and associates (Indirect)	1	0.01	5 728 955	5.72
Public shareholders	6 859	99.92	93 693 152	93.50
Total	6 865	100	100 202 284	100.00
Fund managers greater than 5% of the issued shares				
Camissa Asset Management	–	–	16 078 060	16.05
Public Investment Corporation	–	–	9 028 453	9.01
36One Asset Management	–	–	10 267 918	10.25
Mianzo Asset Management	–	–	5 736 936	5.73
Total	–	–	41 111 367	41.04
Direct and indirect beneficial shareholders greater than 5% of the issued shares (excluding directors)				
Government Employees Pension Fund	–	–	14 586 153	14.56
36One Asset Management	–	–	5 969 851	5.96
Panis Trust	–	–	5 728 955	5.72
Camissa Asset Management	–	–	5 088 030	5.08
Total	–	–	31 372 989	31.32
Total number of shareholdings	6 865	–	–	0.00
Total number of shares in issue	–	–	100 202 284	0.00



Administration

Famous Brands Limited

Incorporated in the Republic of South Africa Registration number: 1969/004875/06

JSE share code: FBR

ISIN code: ZAE000053328

Directors

CH Boulle (Independent Chairman), N Halamandaris, DP Hele (Chief Executive Officer)*,

AK Maditse, B Mathe, W Mzimba, F Petersen-Cook, T Mosololi and

N Shiluvana (Group Financial Director)*

** Executive*

Company Secretary

CD Appollis

Registered office

478 James Crescent, Halfway House, Midrand, 1685 PO Box 2884, Halfway House, 1685

Telephone: +27 11 315 3000

Email: investorrelations@famousbrands.co.za Website address: www.famousbrands.co.za

Transfer secretaries

Computershare Investor Services Proprietary Limited Registration number: 2004/003647/07

Rosebank Towers, 15 Biermann Avenue Rosebank, 2196, South Africa

PO Box 61051, Marshalltown, 2107

Sponsor

The Standard Bank of South Africa Limited Registration number: 1969/017128/06

30 Baker Street, Rosebank, 2196

Auditor

KPMG Inc

Registration number: 1999/021543/21

85 Empire Road, Parktown, Johannesburg, 2193